Block practice · Product life cycle, pricing, promotion and mix choices

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Product life cycle and extension strategies

Promotion methods: above and below the line

Technology in promotion and social media

Pricing strategies and when to use them

New products and marketing mix choices

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Practice workbook · Product life cycle and extension strategies

The phases of the product life cycle and strategies to extend it, such as new features, markets or promotion.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-04

1. Question 2 · part e · 3 marks

2019 JUN · Paper 01

Worked-example retry · Attempt part e only.

2 *Backyard Shoez* is now planning to sell shoes to men and children as well as ladies.

(a) State **one** fringe benefit that *Backyard Shoez* can offer its employees.

(1)

(b) State **one** benefit to *Backyard Shoez* of using off-the-job training.

(1)

(c) Explain **one** reason why many businesses have a human resource functional area.

(3)

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(d) Explain **one** method of above the line promotion a business could use.

(3)

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1. Question 2 · part e · 3 marks

2019 JUN · Paper 01

Worked-example retry · Attempt part e only.

(e) Explain **one** way the product life cycle can be extended.

(3)

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1. Question 2 · part e · 3 marks

2019 JUN · Paper 01

Worked-example retry · Attempt part e only.

Backyard Shoez wants to motivate its employees. It is considering two options:

Option 1: bonus payments

Option 2: job enrichment.

(f) Justify which **one** of these two options *Backyard Shoez* should use.

(9)

(Total for Question 2 = 20 marks)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.ii · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a.ii only.

1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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Turn over ▶

2. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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3. Question 1 · part c · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part c only.

1 *Tata Motor Company* began trading in 1868, and is now part of a large group of companies that is estimated to be worth $100 billion. *Tata Motor Company* manufactures a wide range of cars, buses and trucks. It is India's largest maker of vehicles with manufacturing centres in many countries including Korea, Italy and the UK.

One of the main aims of *Tata Motor Company* is to produce goods that the public want and need. It is currently working on electric cars that are more environmentally friendly. *Tata Motor Company* plays an active role in community development such as building schools, houses and investing in the health and welfare of local people.

(Source adapted from: https://www.tatamotors.com/about-us/)

(a) (i) Which **one** of the following is an external source of finance?

(1)

- ☒ **A** Retained profit
- ☒ **B** Selling assets
- ☒ **C** Sales revenue
- ☒ **D** Share capital

(ii) Which **one** of the following forms of discrimination is covered by legislation?

(1)

- ☒ **A** Ability
- ☒ **B** Age
- ☒ **C** Ethical
- ☒ **D** Political

(iii) Which **one** of the following could be used to gather data for a business?

(1)

- ☒ **A** Market research
- ☒ **B** Market orientation
- ☒ **C** Market segmentation
- ☒ **D** Market place

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3. Question 1 · part c · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part c only.

(iv) In a break-even graph, the break-even point is when:

(1)

- ☒ **A** total costs and fixed costs are the same
- ☒ **B** fixed costs and variable costs are the same
- ☒ **C** total costs and revenue are the same
- ☒ **D** fixed costs and revenue are the same

Figure 1 gives details of one of the many suppliers of tyres to *Tata Motor Company.*

Production each month	2,400
Average price per tyre	€27
Variable costs per tyre	€12
Fixed costs per month	€6 000

Figure 1

(v) What are the monthly total costs for the business?

(1)

- ☒ **A** €8 412
- ☒ **B** €34 800
- ☒ **C** €74 400
- ☒ **D** €204 000

A customer in Germany wishes to buy a Tata Nano car from India. The cost of this vehicle is 465 000 Indian Rupees (RS). The exchange rate is €1.00 = RS78

(vi) What would the German customer pay to the nearest euro for the car?

(1)

- ☒ **A** €3 621
- ☒ **B** €4 650
- ☒ **C** €5 962
- ☒ **D** €36 270

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3. Question 1 · part c · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part c only.

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(b) Define the term **insolvency**.

(1)

(c) Define the term **product life cycle**.

(1)

(d) State **one** reason why a *Tata Motor Company* employee could be dismissed.

(1)

In December 2016 the global vehicle sales for *Tata Motor Company* were 89,841.

In December 2017 the global vehicle sales figure was 23% higher.

(e) Calculate the global vehicle sales for *Tata Motor Company* in December 2017. You are advised to show your working.

(2)

(f) Explain **one** impact of technology on the manufacture of vehicles.

(3)

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3. Question 1 · part c · 1 mark · Working and answer

Working and answer

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4. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

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1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

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4. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

Figure 1 shows the product life cycle diagram.

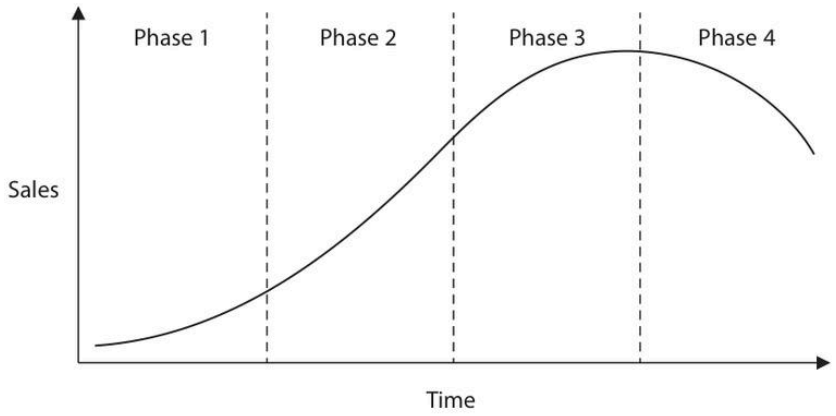

Figure 1

(iv) Which **one** is the correct label for Phase 2? (1)

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? (1)

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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4. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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5. Question 2 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

2 (a) State **one** method *Irsi Chocolatier* could use to improve its competitive position.

(1)

(b) State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products.

(1)

(c) Explain **one** way a business could use e-newsletters.

(3)

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5. Question 2 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a.v · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.v only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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6. Question 1 · part a.v · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.v only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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6. Question 1 · part a.v · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.v only.

Figure 1 is a diagram of a product life cycle.

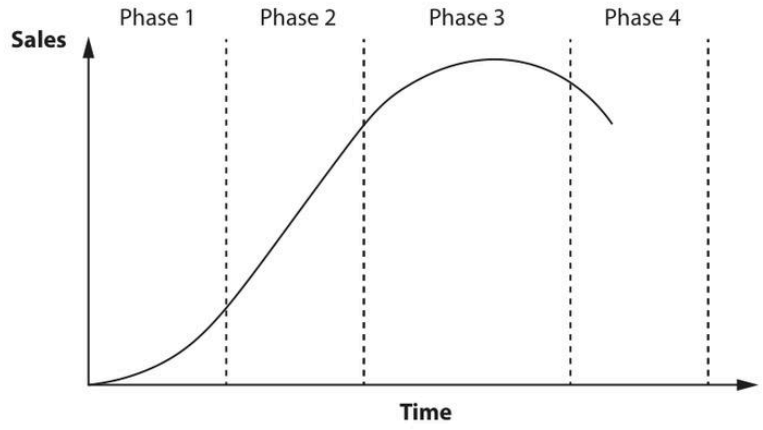

Figure 1

(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

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6. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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7. Question 1 · part d · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part d only.

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1 *Posh Pets Spain* (*PPS*) is a pet hotel in the village of Alhaurin el Grande, Spain. It is run by Rachel Goutorbe, an animal enthusiast, and her team of four pet specialists. *PPS* offers overnight accommodation with room for seven dogs or cats, a pet grooming service and a shop selling pet products, such as dog coats and dog leads. Pet grooming involves washing, cutting and combing a pet's coat.

(a) (i) Which **one** of the following is protected by legislation?

Select **one** answer.

(1)

☒ **A** Skills

☒ **B** Age

☒ **C** Experience

☒ **D** Ability

(ii) Which **one** of the following represents a star product on the Boston matrix?

Select **one** answer.

(1)

☒ **A** High market growth, high market share

☒ **B** High market growth, low market share

☒ **C** Low market growth, high market share

☒ **D** Low market growth, low market share

(iii) Which **one** of the following is the method of production where one unit of output is completed at a time?

Select **one** answer.

(1)

☒ **A** Lean

☒ **B** Flow

☒ **C** Batch

☒ **D** Job

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7. Question 1 · part d · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part d only.

(iv) Which **one** of the following is a current asset?

Select **one** answer.

(1)

- ☒ **A** Vehicle
- ☒ **B** Cash
- ☒ **C** Building
- ☒ **D** Factory

PPS imports handmade leather dog collars from the UK. Each dog collar costs £26.50.

The exchange rate is €1 (euro) = £0.84 (pound).

(v) Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK?

Select **one** answer.

(1)

- ☒ **A** €22.56
- ☒ **B** €445.20
- ☒ **C** €630.95
- ☒ **D** €513.20

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7. Question 1 · part d · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part d only.

Figure 1 gives details of the *PPS* pet grooming service.

Average number of customers each month	30
Average price per service	€54
Variable costs per service	€17.25
Fixed costs per month	€175

Figure 1

(vi) Which **one** of the following is the total monthly cost for *PPS*?

Select **one** answer.

(1)

- ☒ **A** €692.50
- ☒ **B** €931.50
- ☒ **C** €2137.50
- ☒ **D** €2312.50

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7. Question 1 · part d · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part d only.

Many manufacturers make use of robots in their production processes.

(b) Define the term **robotics**.

(1)

(c) Define the term **capital intensive production**.

(1)

PPS has seen lower sales of its pet accessories.

(d) State **one** extension strategy *PPS* could use to extend the life cycle of the pet accessories.

(1)

PPS is planning to take on additional employees. The hourly minimum wage in Spain is €7.45. The government is increasing this hourly minimum by 3.5%.

(e) Calculate the new hourly minimum wage after the increase of 3.5%. You are advised to show your working.

(2)

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7. Question 1 · part d · 1 mark · Working and answer

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8. Question 1 · part a.iii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.iii only.

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1 *Ocean Vibes* is a boat tour business located in two tourists resorts in Portugal. During the tours, it collects wildlife research. The idea came from two young scientists, Alfredo and Pedro, who share a passion for the environment, boats and science. *Ocean Vibes* employs boat tour guides and a sales team in each of the two resorts.

The main goal of *Ocean Vibes* is to connect tourism with science. It offers dolphin and bird-watching tours to tourists and uses the boat tours to collect research data on the wildlife. Its tour guides are knowledgeable, passionate and respectful of the environment.

Customers can book the boat tours online or in the tourist resorts. They are encouraged to leave reviews on *Ocean Vibes'* website.
Every month *Ocean Vibes* provides a boat tour for students and researchers who wish to study the wildlife.

There are many other businesses offering boat tours in Portugal which makes competing in the industry a challenge.

(a) (i) Which **one** of the following is a role within the marketing function?

(1)

Select **one** answer.

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Sales promotion
- ☒ **D** Training employees

(ii) Which **one** of the following is an example of a non-financial method of motivation?

(1)

Select **one** answer.

- ☒ **A** Bonus
- ☒ **B** Remuneration
- ☒ **C** Fringe benefits
- ☒ **D** Job rotation

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8. Question 1 · part a.iii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.iii only.

(iii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Introduction
- ☒ **B** Cash cow
- ☒ **C** Dog
- ☒ **D** Star

(iv) Which **one** of the following is an example of a public service provided by the government?

(1)

Select **one** answer.

- ☒ **A** Clothing retailer
- ☒ **B** Police force
- ☒ **C** Mobile phone provider
- ☒ **D** Grocery store

A bank in Portugal charges *Ocean Vibes* 12% interest on overdrafts.

(v) Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?

Select **one** answer.

(1)

- ☒ **A** €140
- ☒ **B** €168
- ☒ **C** €1 388
- ☒ **D** €1 568

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8. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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9. Question 1 · part f · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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9. Question 1 · part f · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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9. Question 1 · part f · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

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(c) Define the term **non-current liabilities**.

(1)

(d) State **one** reason why *NOF* segments its target market by income.

(1)

Figure 1 is an extract from *NOF*'s statement of comprehensive income.

	£000s
Revenue	160
Cost of sales	70
Gross profit	90
Other operating expenses	10

Figure 1

(e) Calculate the operating profit margin. You are advised to show your working.

(2)

.....%

9. Question 1 · part f · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

(f) Explain **one** strategy a small business might use to extend the product life cycle of one of its products.

(3)

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9. Question 1 · part f · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

(g) Analyse the importance of marketing to *NOF*.

(6)

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(Total for Question 1 = 20 marks)

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9. Question 1 · part f · 3 marks · Working and answer

Working and answer

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10. Question 3 · part b · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Define the term **variable costs**.

(1)

(b) Outline **one** way *Aude Rose* could extend the product life cycle of one of its products.

(2)

Figure 1 shows the retained profit for *Aude Rose*.

2021	€16 260
2022	€12 594

Figure 1

(c) Calculate, to two decimal places, the percentage decrease in retained profits from 2021 to 2022. You are advised to show your working.

(2)

..... %

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P 7 2 9 5 2 A 0 1 2 2 0

10. Question 3 · part b · 2 marks · Working and answer

Working and answer

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Practice workbook · Promotion methods: above and below the line

Advertising, sponsorship, product trials and special offers; above- and below-the-line techniques; and choosing promotion for a segment.

22 question parts: 1 worked-example retry and 21 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-20

1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

OLevels.COM — SCHOOL —

1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

Figure 1 shows selected financial information for a pottery business.

Number of ceramic bowls sold per day	200
Price per bowl	£12.00
Variable cost per bowl	£3.00
Fixed costs per day	£600

Figure 1

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

☒ **A** £600

☒ **B** £1 800

☒ **C** £2 400

☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

☒ **A** Sharing the workload

☒ **B** Liability for all debts

☒ **C** Access to more capital

☒ **D** Sharing skills

Huawei's brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

☒ **A** $6.20 billion

☒ **B** $7.74 billion

☒ **C** $8.66 billion

☒ **D** $10.64 billion

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1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

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(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

Figure 2 is part of the statement of comprehensive income for *Huawei* in 2018.

	(CNY) million
Revenue	721 202
Operating profit	73 287

Figure 2

(e) Calculate, to two decimal places, the operating profit margin for *Huawei*. You are advised to show your working.

(2)

..... %

(f) Explain **one** advantage for a business of using **sponsorship**.

(3)

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P 6 6 4 7 5 R A 0 6 2 0

1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

(g) Analyse the benefits for *Huawei* of locating its factories near to its labour sources.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part c · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

OLevels.com SCHOOL

P 5 9 9 2 9 A 0 3 1 6

2. Question 1 · part c · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

Lavender buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

Lavender calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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2. Question 1 · part c · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Define the term **above the line promotion**.

(1)

(d) State **one** reason *Lavender* would recruit internally.

(1)

Lavender are offering a discount of 15% if customers buy 25 cakes. Each cake costs 12 MYR.

(e) Calculate the cost of buying 25 cakes. You are advised to show your working.

(2)

MYR

(f) Explain **one** advantage of being a franchisee.

(3)

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2. Question 1 · part c · 1 mark · Working and answer

Working and answer

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3. Question 2 · part d · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

2 *Backyard Shoez* is now planning to sell shoes to men and children as well as ladies.

(a) State **one** fringe benefit that *Backyard Shoez* can offer its employees.

(1)

(b) State **one** benefit to *Backyard Shoez* of using off-the-job training.

(1)

(c) Explain **one** reason why many businesses have a human resource functional area.

(3)

OLevels.com SCHOOL

(d) Explain **one** method of above the line promotion a business could use.

(3)

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3. Question 2 · part d · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

(e) Explain **one** way the product life cycle can be extended.

(3)

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3. Question 2 · part d · 3 marks · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

- ☒ **A** Provision of services
- ☒ **B** Exchange of goods
- ☒ **C** Extraction of raw materials
- ☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

- ☒ **A** The person can buy supplies from any supplier
- ☒ **B** The person is given support from an established business
- ☒ **C** The person is guaranteed a set wage
- ☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

- ☒ **A** 6.63%
- ☒ **B** 15.09%
- ☒ **C** 33.75%
- ☒ **D** 50.94%

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4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

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(b) Define the term **commission**.

(1)

(c) Define the term **revenue**.

(1)

(d) State **one** possible reason why *HRMW* has a short span of control.

(1)

OLevels.com SCHOOL

4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

Figure 2 shows *HRMW*'s estimated revenues.

Year	Revenue in Rupee (000)
2020–2021	85 083
2021–2022	92 322

Figure 2

(e) Calculate, to two decimal places, the percentage increase from 2020–2021 to 2021–2022. You are advised to show your working.

(2)

.....%

(f) Explain **one** reason why a business would sponsor an event.

(3)

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4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

(g) Analyse the benefit to *HRMW* of branding the products it sells.

(6)

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(Total for Question 1 = 20 marks)

4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 3 · part b · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

3 *NEXT* works hard to remain competitive with other retailers of similar products.

(a) Define the term **economies of scale**.

(1)

(b) Outline **one** reason why *NEXT* uses special offers.

(2)

Of *NEXT*'s 43,000 employees, 70% are women.

(c) Calculate the number of women working at *NEXT*. You are advised to show your working.

(2)

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5. Question 3 · part b · 2 marks · Working and answer

Working and answer

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6. Question 2 · part d · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

2 All 18,000 *LEGO* employees are full-time.

(a) State **one** financial objective for *LEGO*.

(1)

(b) State **one** possible reason why *LEGO* does not recruit casual employees.

(1)

(c) Explain **one** reason why a business would pay its employees above the minimum wage.

(3)

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6. Question 2 · part d · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

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(d) Explain **one** reason why product trials are important to a business.

(3)

(e) Explain **one** reason why a business complies with health and safety legislation.

(3)

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6. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 2 · part d · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

2 (a) State **one** non-financial method *AWG* may use to motivate its employees.

(1)

(b) State **one** task of an *AWG* employee working in the human resources department.

(1)

(c) Explain **one** benefit of globalisation to a small business.

(3)

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7. Question 2 · part d · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

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(d) Explain **one** method of below-the-line promotion a business may use to retain its customers.

(3)

(e) Explain **one** benefit to a business of using market segmentation to target its customers.

(3)

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P 7 4 6 3 3 A 0 9 2 0

7. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 2 · part d · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

2 (a) State **one** reason why branding is important to *Saha*.

(1)

(b) State **one** task that an employee working in the production department at *Saha* might do.

(1)

(c) Explain **one** disadvantage for a business of using flow production to produce its goods.

(3)

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8. Question 2 · part d · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

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(d) Explain **one** method of above the line promotion a business may use to increase its sales revenue.

(3)

(e) Explain **one** reason why the proximity to materials is important to a business when locating to a new factory.

(3)

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8. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part d · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

2 *Premier Inn* wants to retain its employees so it can continue to maintain the service it provides for guests.

(a) State **one** activity carried out by the marketing functional area at *Premier Inn*.

(1)

(b) State **one** reason why *Premier Inn* uses seasonal employees.

(1)

(c) Explain **one** reason why a business would use robotics in its production.

(3)

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9. Question 2 · part d · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Explain **one** reason why a business might use sponsorship.

(3)

(e) Explain **one** advantage for a country of being in a trading bloc.

(3)

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9. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 3 · part b · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Define the term **span of control**.

(1)

(b) Outline **one** way *Ocean Vibes* may promote its business.

(2)

Figure 2 shows an extract from financial statements of a business in 2023.

	€
Gross profit	220 000
Operating expenses	160 000
Operating profit	60 000
Capital employed	80 000

Figure 2

(c) Calculate the return on capital employed (ROCE). You are advised to show your working.

(2)

..... %

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10. Question 3 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

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4 The minimum wage in the UK is £7.70. The UK Government is looking to increase this by 2.5%.

(a) Calculate the new minimum wage after an increase of 2.5%. You are advised to show your working.

(2)

£.....

OLevels.COM — SCHOOL —

11. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

(b) Analyse the benefits for *TADS* of using below-the-line promotion.

(6)

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11. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

At the moment *TADS* operates as a sole trader. As it becomes more successful Ollie is considering becoming a private limited company.

(c) Evaluate whether *TADS* should consider becoming a private limited company. You should use the information provided as well as your own knowledge of business.

(12)

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11. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 2 · part f · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

2 (a) State **one** primary research method that *Loaf* could use.

(1)

(b) State **one** drawback for *Loaf* of poor customer service.

(1)

(c) Explain **one** benefit to a business of using e-newsletters.

(3)

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12. Question 2 · part f · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** responsibility of the human resources function in a business.

(3)

(e) Explain **one** way in which the just in time (JIT) method of stock control might benefit a business.

(3)

OLevels.com SCHOOL

12. Question 2 · part f · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

Loaf would like to carry out some promotional activities to increase customer numbers for its bakery and cookery courses.

It is considering the following two options:

Option 1: offering free bite-sized pieces of its bread and cakes to people passing its shop

Option 2: using posters to advertise *Loaf* in local charity shops.

(f) Justify which **one** of these two options *Loaf* should choose.

(9)

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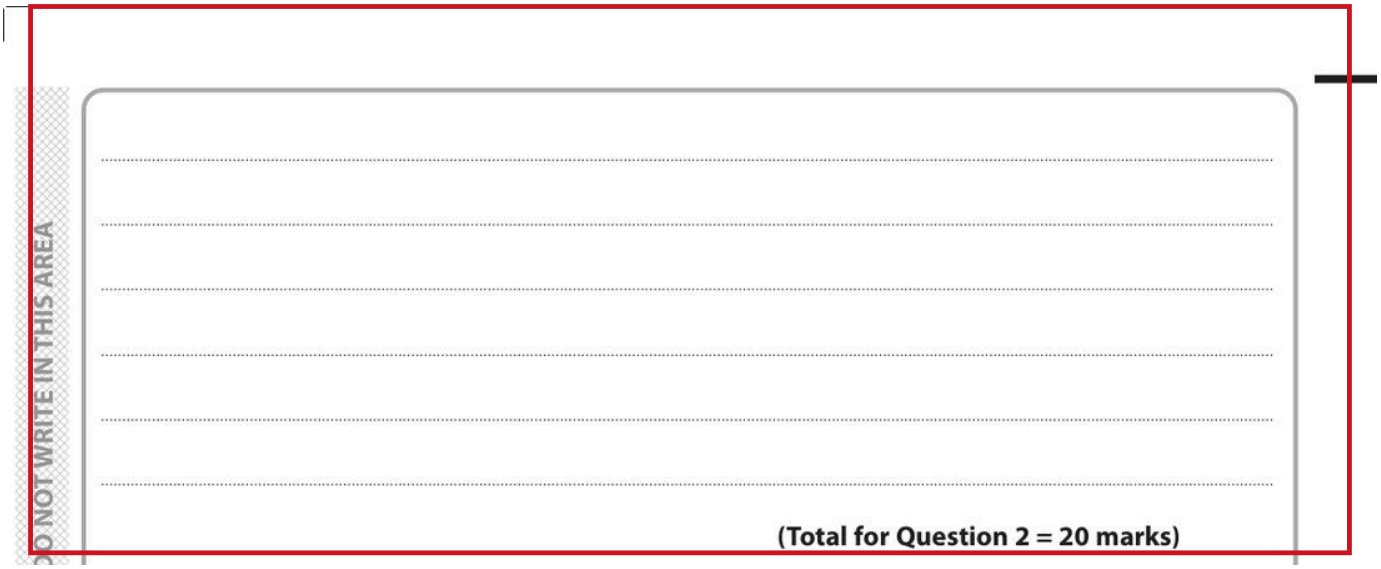
12. Question 2 · part f · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.



OLevels.com SCHOOL

12. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

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3 Saving the environment in which we all live is important. The Chairman ensures that *Emirates* works hard to recycle many of the materials it uses and to reduce atmospheric pollution from the fuel that powers its aircraft. Water consumption for washing aircraft has been reduced, newspapers and other paper products collected from *Emirates* aircraft cabins are recycled. *Emirates* uses a variety of methods to monitor its employees when carrying out these jobs. For these roles *Emirates* uses a short chain of command.

(a) Define the term **hierarchical structure**.

(1)

(b) Outline **one** reason why *Emirates* has a short chain of command for monitoring its employees when recycling.

(2)

OLevels.com SCHOOL

Emirates used 13,457,776 litres of petrol in 2016–2017. In 2017–2018 it reduced this figure by 12.5%.

(c) Calculate the number of litres of petrol that *Emirates* used in 2017–2018. You are advised to show your workings.

(2)

..... litres

13. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

(d) Analyse why *Emirates* would want to be more environmentally friendly.

(6)

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OLevels.com SCHOOL

13. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

Emirates wants to improve its market share to regain its number one position with passengers. It needs to improve its promotional activities. It is considering two options:

Option 1: increase the number of special offers

Option 2: increase advertising via social media.

(e) Justify which **one** of these two options *Emirates* should use.

(9)

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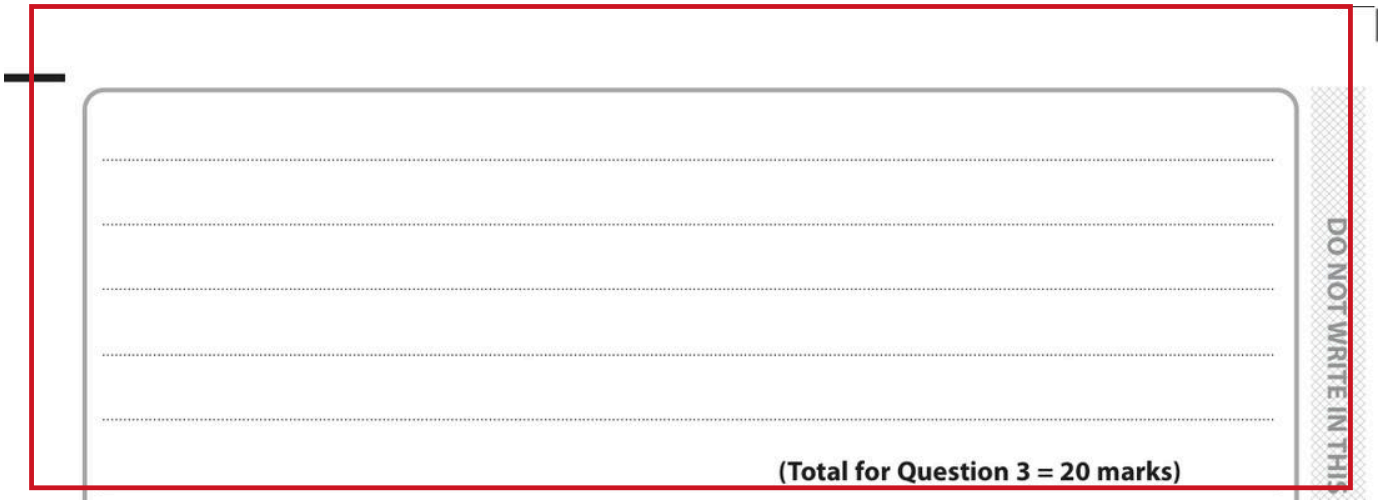
13. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.



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13. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

14. Question 2 · part f · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) State **one** reason why *NEXT* would want to promote its own employees.

(1)

(b) State **one** reason why *NEXT* complies with health and safety laws.

(1)

(c) Explain **one** reason why businesses fail.

(3)

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OLevels.com SCHOOL

14. Question 2 · part f · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

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(d) Explain **one** reason why a business would use batch production.

(3)

(e) Explain **one** reason why employees keep their curriculum vitae (CV) up to date.

(3)

OLevels.com SCHOOL

14. Question 2 · part f · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

NEXT already uses a range of promotional methods to encourage customers to buy its products. It is now considering the following two methods as a way of increasing customer awareness of its brand and products:

Option 1: targeted advertising online

Option 2: e-newsletters.

(f) Justify which **one** of these two options *NEXT* should choose.

(9)

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OLevels.com SCHOOL

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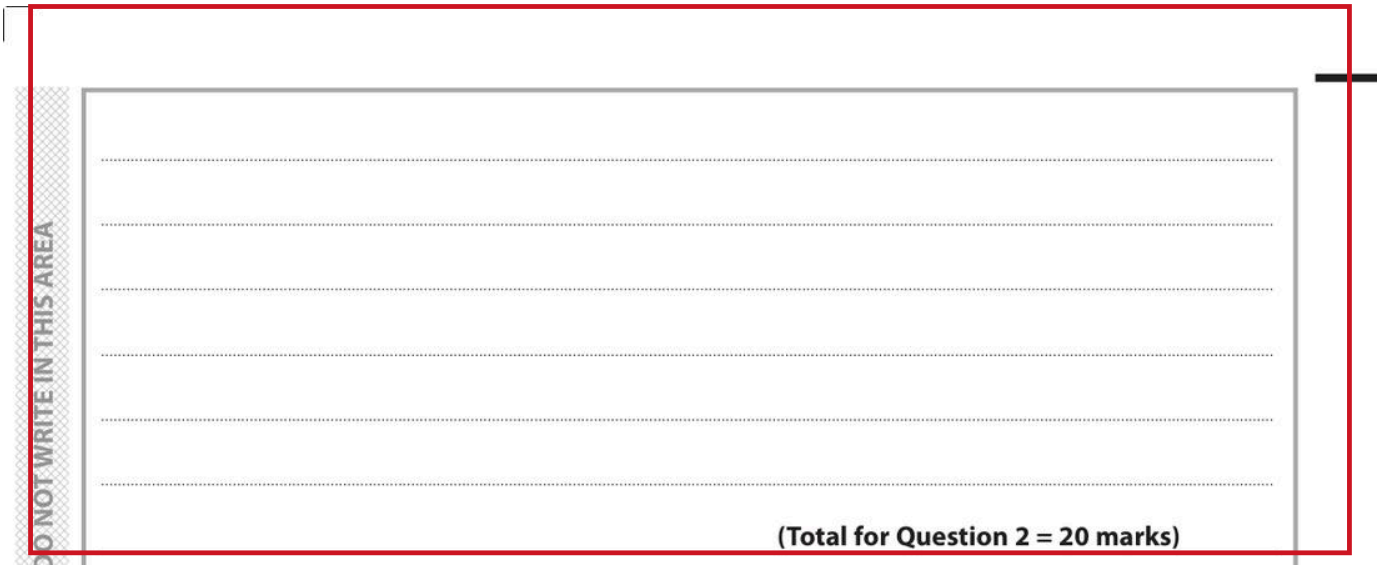
14. Question 2 · part f · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.



OLevels.com SCHOOL

14. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

15. Question 2 · part f · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

2 (a) State **one** reason why *Artify Studio* would want to offer a high-quality service.

(1)

(b) State **one** advantage for *Artify* Studio of using part-time employees.

(1)

(c) Explain **one** benefit to a business of being a partnership.

(3)

OLevels.com SCHOOL

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15. Question 2 · part f · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** way social media can be used by a business.

(3)

(e) Explain **one** benefit for a business from the introduction of total quality management (TQM).

(3)

OLevels.COM SCHOOL

15. Question 2 · part f · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

Artify Studio has decided to use public relations to improve its image.

It is considering two options:

Option 1: sponsoring a local art show in the Kampong Glam area

Option 2: having a stand at a national art exhibition in Singapore's capital.

(f) Justify which **one** of these two options *Artify Studio* should choose.

(9)

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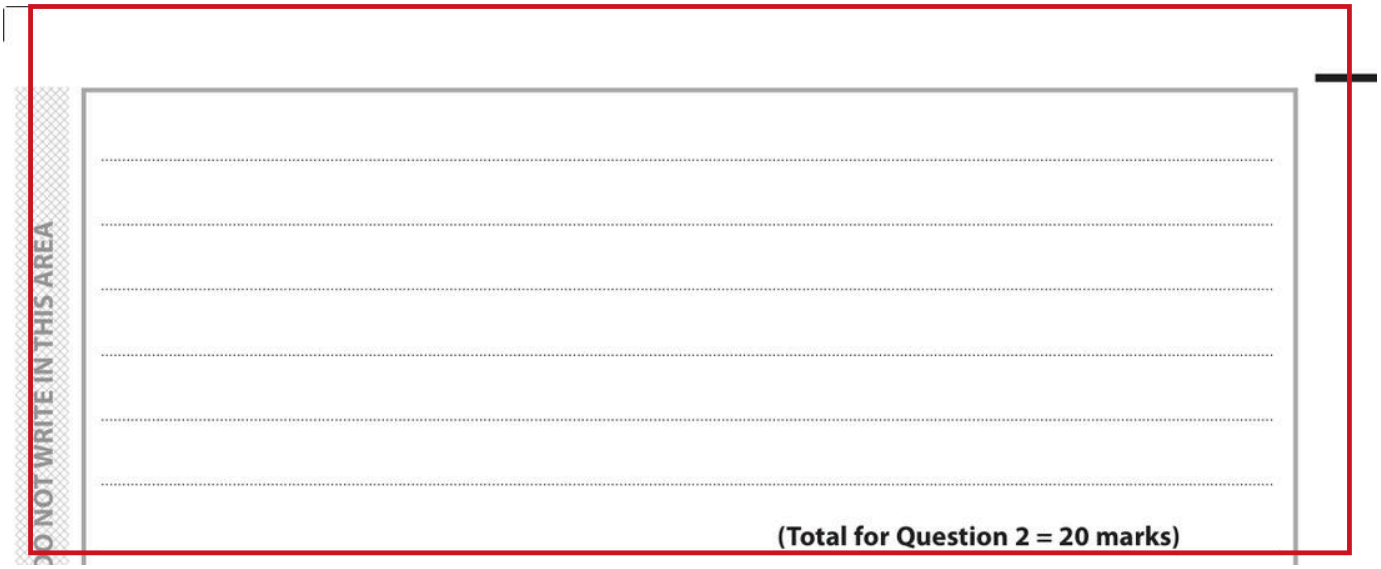
15. Question 2 · part f · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.



OLevels.com SCHOOL

15. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 2 · part f · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

2 (a) State **one** fringe benefit *Aude Rose* could offer its employees.

(1)

(b) State **one** reason why branding is important to *Aude Rose*.

(1)

(c) Explain **one** impact of ineffective communication on a business.

(3)

OLevels.com SCHOOL

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16. Question 2 · part f · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** advantage of a partnership.

(3)

(e) Explain **one** disadvantage to a business of product orientation.

(3)

OLevels.COM SCHOOL

16. Question 2 · part f · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Aude Rose is looking to increase its sales. It is considering two options:

Option 1: sponsor a local event such as a flower show

Option 2: advertise, using leaflets around Paris.

(f) Justify which **one** of these two options *Aude Rose* should choose.

(9)

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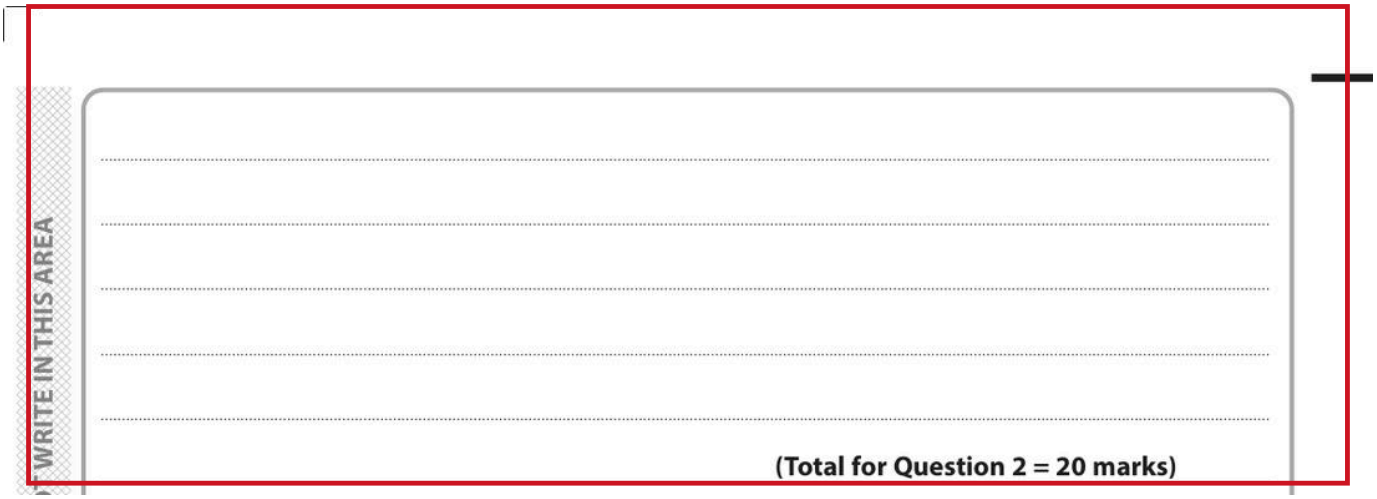
OLevels.com SCHOOL

16. Question 2 · part f · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.



OLevels.com SCHOOL

16. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 2 · part f · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

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2 One of *IKEA*'s aims is to keep up to date with the changes taking place in product design and meeting customers' needs. To do this it has to introduce new and different products on a regular basis.

(a) State **one** reason why *IKEA* would employ temporary staff.

(1)

(b) State **one** financial objective *IKEA* might have.

(1)

(c) Explain **one** reason why cash flow forecasting is important to a business.

(3)

OLevels.COM — SCHOOL —

17. Question 2 · part f · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** reason why diseconomies of scale may occur.

(3)

(e) Explain **one** reason why businesses continually design new products.

(3)

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OLevels.com SCHOOL

17. Question 2 · part f · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

IKEA constantly aims to improve the way it promotes its furniture. To do this *IKEA* is considering using the following techniques.

Option 1: above the line promotion

Option 2: below the line promotion.

(f) Justify which **one** of these two options *IKEA* should use.

(9)

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17. Question 2 · part f · 9 marks

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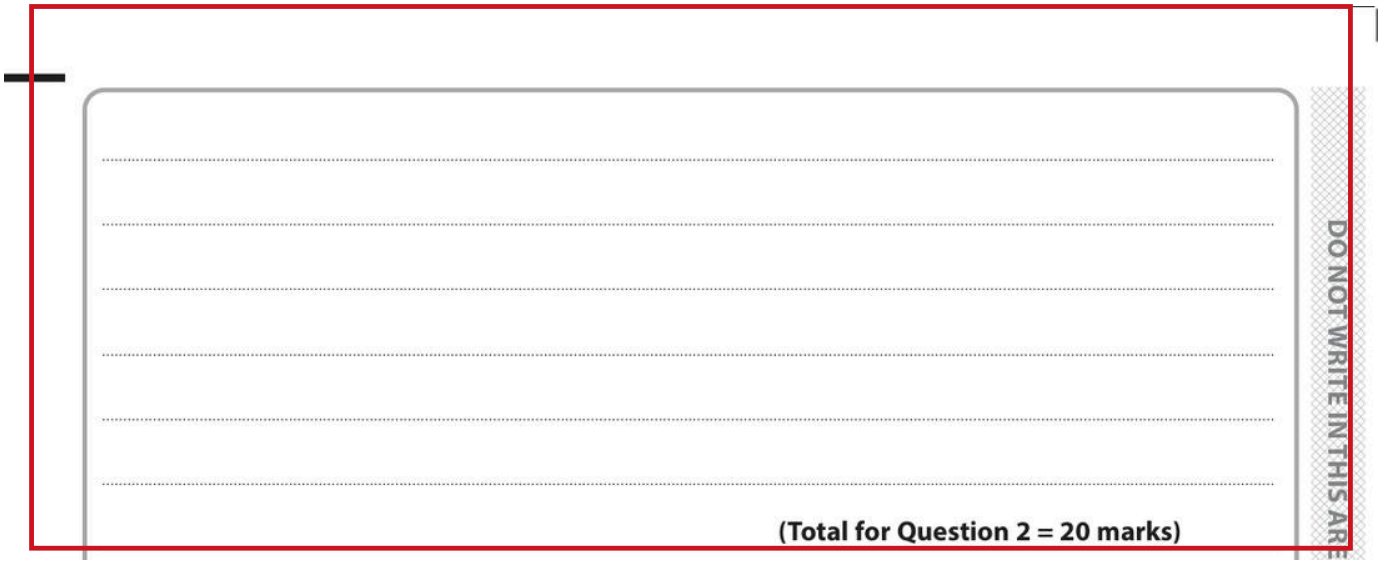

OLevels.com
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17. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 2 · part f · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

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2 *Kraft Heinz* has different functional areas within the business. These functional areas work together to ensure that *Kraft Heinz* maintains high standards of production with limited waste material.

Kraft Heinz aims to be involved in the local area through various methods such as charity and sporting events.

(a) State **one** task that human resources would carry out at *Kraft Heinz* when recruiting an employee.

(1)

(b) State **one** financial objective *Kraft Heinz* might have.

(1)

(c) Explain **one** reason why some businesses use crowdfunding as a source of finance.

(3)

OLevels.com SCHOOL

18. Question 2 · part f · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** disadvantage to a business of using retained profits to purchase goods and services.

(3)

(e) Explain **one** reason why the quality of goods manufactured by a business is important to its success.

(3)

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OLevels.com SCHOOL

18. Question 2 · part f · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

Kraft Heinz constantly aims to promote its products to encourage people to increase sales. To do this *Kraft Heinz* is considering using the following techniques:

Option 1: sponsorship of a local charity

Option 2: increasing the number of special offers.

(f) Justify which **one** of these two options *Kraft Heinz* should choose.

(9)

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18. Question 2 · part f · 9 marks

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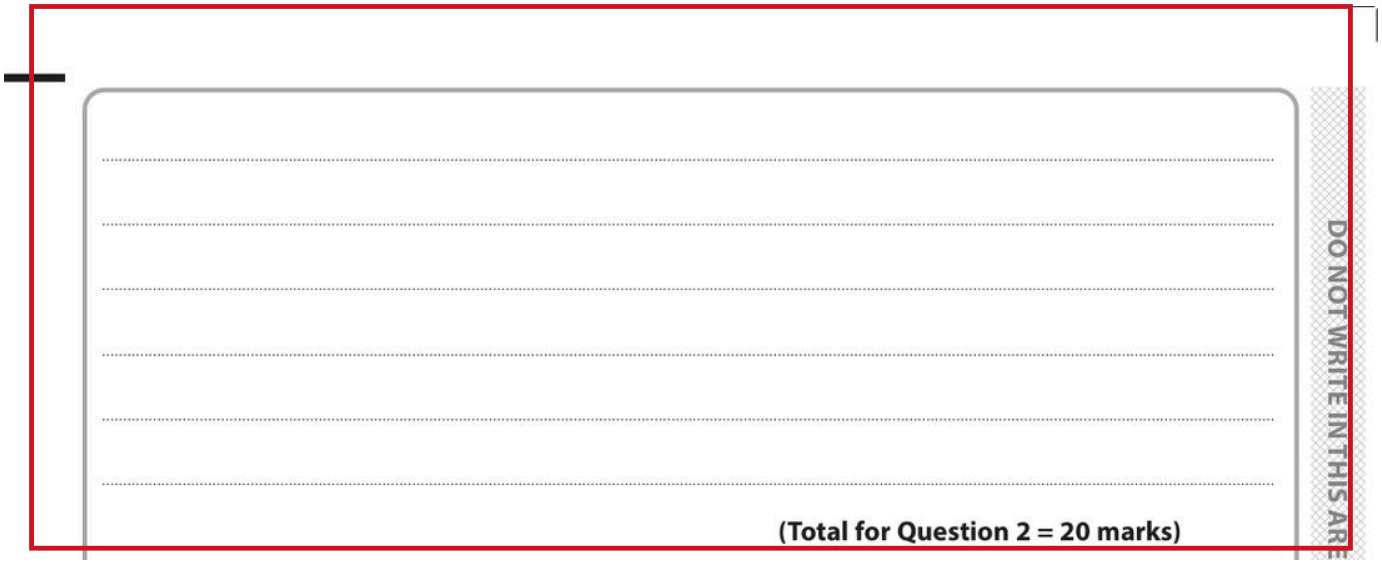

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18. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

19. Question 2 · part f · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

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2 (a) State **one** advantage for *PPS* of keeping its customers loyal.

(1)

(b) State **one** reason why *PPS* motivates its employees.

(1)

(c) Explain **one** impact on a business of ineffective communication.

(3)

OLevels.com SCHOOL

19. Question 2 · part f · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

(d) Explain **one** advantage to a business of having a decentralised organisation.

(3)

(e) Explain **one** benefit to a business of using seasonal employees.

(3)

OLevels.COM SCHOOL

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19. Question 2 · part f · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

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PPS is looking to improve its revenue and is considering two options:

Option 1: trial a new brand of dog food in the shop

Option 2: sponsor a local dog show.

(f) Justify which **one** of these two options *PPS* should choose.

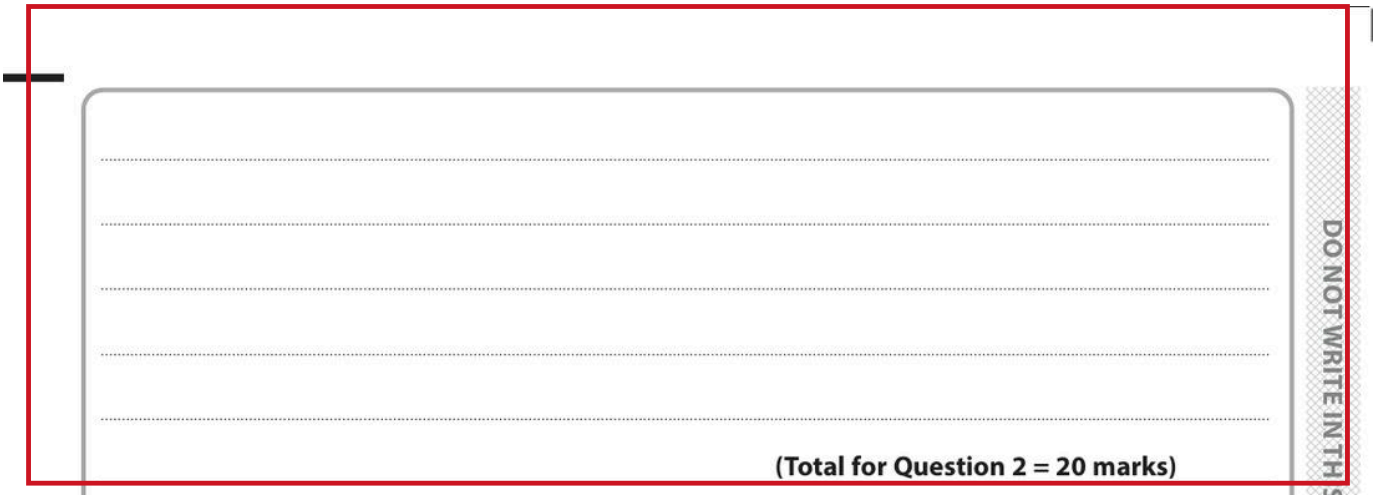
(9)

OLevels.com SCHOOL

19. Question 2 · part f · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.



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19. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 (a) Define the term **just-in-time (JIT)**.

(1)

(b) Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies.

(2)

Figure 2 shows the current assets for *Rabanne* in 2021 and 2022.

Year	Current Assets
2021	$8 527
2022	$5 952

Figure 2

(c) Calculate, to two decimal places, the percentage decrease in current assets. You are advised to show your working.

(2)

..... %

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20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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Packaging of all its products is important to *Rabanne*. It wants to ensure that all products delivered to customers are in the best condition and not damaged. However, it works hard to reduce the amount of packaging, thus reducing waste.

(d) Analyse the importance for *Rabanne* of using its resources effectively.

(6)

OLevels.com SCHOOL

20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Over the past few years a number of new aftershave and perfume businesses have opened and may compete with *Rabanne*. To keep up with its competitors *Rabanne* is reviewing its marketing strategies. It is considering the following two options:

Option 1: increasing the number of product trials

Option 2: increasing advertising.

(e) Justify which **one** of these two options *Rabanne* should choose.

(9)

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20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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20. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

21. Question 2 · part f · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

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2 (a) State **one** reason why *Samsung* may need long-term finance.

(1)

(b) State **one** reason why quality control is a benefit to *Samsung*.

(1)

(c) Explain **one** advantage to a business of having a social objective.

(3)

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21. Question 2 · part f · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** limitation of a break-even chart.

(3)

(e) Explain **one** benefit to a business of being located within a trading bloc.

(3)

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21. Question 2 · part f · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

Samsung competes for market share with businesses such as *Apple* and *Xiaomi* in the technology market.

Samsung plans to increase its promotional spending to increase its market share.

Samsung is considering the following two options:

Option 1: Sponsor celebrities to use its products

Option 2: Provide a free game app to customers when they purchase a product.

(f) Justify which **one** of these two options *Samsung* should choose.

(9)

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21. Question 2 · part f · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

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(Total for Question 2 = 20 marks)

21. Question 2 · part f · 9 marks · Working and answer

Working and answer

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22. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

4 **Figure 3** shows the gross profit for *Kraft Heinz* for the three months ending 25 June 2022:

	Million (US Dollars)
Gross profit	1 984
Revenue	6 554

Figure 3

(a) Calculate, to two decimal places, the gross profit margin for *Kraft Heinz* for the three months ending 25 June 2022. You are advised to show your working.

(2)

.....%

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22. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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(b) Analyse the benefits to countries where *Kraft Heinz* is located.

(6)

OLevels.com SCHOOL

22. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

Kraft Heinz advertises on a regular basis using different methods such as television and posters. Its products are purchased by the young and old. In 2019, it used a television advertisement with Ed Sheeran, the pop star, demonstrating his taste for Heinz tomato sauce.

(c) Evaluate the importance to *Kraft Heinz* of using a variety of different methods to advertise to its target customers. You should use the information provided as well as your own knowledge of business.

(12)

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22. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

22. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Technology in promotion and social media

Targeted online advertising, viral social media, e-newsletters and websites, and the effects of customers using social media.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-21

1. Question 2 · part d · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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2 *Yellow* has introduced a new product, 'Design Your Own Shirt'. Customers can choose the colour, sleeve length and number of pockets.

(a) State **one** benefit to *Yellow of* introducing this product.

(1)

(b) State **one** way *Yellow* could carry out market research.

(1)

(c) Explain **one** benefit to a business of retaining its employees.

(3)

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(d) Explain **one** advantage for a business of using targeted advertising online.

(3)

1. Question 2 · part d · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

(e) Explain **one** reason why cash flow forecasts are important for a business.

(3)

OLevels.COM SCHOOL

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1. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

OLevels.com SCHOOL

2. Question 1 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

The price of buying a pair of *Jimmy Choo* shoes in Malaysia is 3 359.13 Malaysian Ringgits (MYR).

The exchange rate is 5.65 MYR = £1.00 (pounds).

(iii) Which **one** of the following is the price of the shoes in pounds?

Select **one** answer.

(1)

- ☒ **A** £565.00
- ☒ **B** £594.54
- ☒ **C** £3 353.48
- ☒ **D** £18 979.08

(iv) Which **one** of the following is a benefit of being a sole trader?

Select **one** answer.

(1)

- ☒ **A** Additional capital can be easily raised
- ☒ **B** Decisions can be shared
- ☒ **C** Independence for the owner
- ☒ **D** Limited liability

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2. Question 1 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Figure 1 shows the cash flow information for a business.

	£
Open balance	38 000
Cash inflow	27 000
Cash outflow	17 000

Figure 1

(v) Which **one** of the following is the closing balance for the business?

Select **one** answer.

(1)

- ☒ **A** £44 000
- ☒ **B** £48 000
- ☒ **C** £55 000
- ☒ **D** £65 000

(vi) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time consuming than secondary research
- ☒ **C** It is only done by market research agencies
- ☒ **D** It is a more up to date method of research

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OLevels.COM SCHOOL

2. Question 1 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Define the term **e-newsletter**.

(1)

(c) Define the term **minimum wage**.

(1)

(d) State **one** reason why *Jimmy Choo* would want loyal customers.

(1)

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OLevels.com SCHOOL

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2. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part c · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

2 (a) State **one** primary research method that *Loaf* could use.

(1)

(b) State **one** drawback for *Loaf* of poor customer service.

(1)

(c) Explain **one** benefit to a business of using e-newsletters.

(3)

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3. Question 2 · part c · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Explain **one** responsibility of the human resources function in a business.

(3)

(e) Explain **one** way in which the just in time (JIT) method of stock control might benefit a business.

(3)

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OLevels.com SCHOOL

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3. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part d · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

2 (a) State **one** reason why *Artify Studio* would want to offer a high-quality service.

(1)

(b) State **one** advantage for *Artify* Studio of using part-time employees.

(1)

(c) Explain **one** benefit to a business of being a partnership.

(3)

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OLevels.com SCHOOL

4. Question 2 · part d · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

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(d) Explain **one** way social media can be used by a business.

(3)

(e) Explain **one** benefit for a business from the introduction of total quality management (TQM).

(3)

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4. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part c · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

2 (a) State **one** method *Irsi Chocolatier* could use to improve its competitive position.

(1)

(b) State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products.

(1)

(c) Explain **one** way a business could use e-newsletters.

(3)

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5. Question 2 · part c · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

(d) Explain **one** way a business could use market research information.

(3)

(e) Explain **one** benefit to a business that has a decentralised organisational structure.

(3)

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5. Question 2 · part c · 3 marks · Working and answer

Working and answer

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6. Question 3 · part b · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Define the term **secondary sector**.

(1)

(b) Outline **one** way *Café Pinch* could use social media to promote its business.

(2)

Figure 1 is an extract of the statement of comprehensive income for *Café Pinch*.

Revenue	€103 825
Gross profit	€66 842
Other operating expenses	€5 782

Figure 1

(c) Calculate, to two decimal places, the operating profit margin. You are advised to show your working.

(2)

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P 7 5 8 4 2 A 0 1 2 2 0

6. Question 3 · part b · 2 marks · Working and answer

Working and answer

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7. Question 2 · part d · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 *Rabanne* aims to be the best provider of fragrances for men and women throughout the world. Therefore, it uses a range of methods to make sure it will achieve this aim.

(a) State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities.

(1)

(b) State **one** way *Rabanne* could measure its success as a business.

(1)

(c) Explain **one** reason why some businesses fail.

(3)

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7. Question 2 · part d · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Explain **one** reason why a business would use targeted advertising online to promote itself.

(3)

(e) Explain **one** reason why businesses use statements of comprehensive income when making decisions.

(3)

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P 7 8 7 9 7 A 0 9 2 0

7. Question 2 · part d · 3 marks · Working and answer

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8. Question 4 · part b · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 A *Yellow* T-shirt costs 11.05 Bangladeshi Taka (BDT) to manufacture. *Yellow* then sells them for 13.75 BDT.

(a) Calculate the gross profit for *Yellow* if it sold 14,000 T-shirts. You are advised to show your working.

(2)

BDT

Many customers of *Yellow* use social media.

(b) Analyse the disadvantage for *Yellow* of customers using social media.

(6)

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8. Question 4 · part b · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Yellow prides itself on using the following principles:

- sells a wide range of fashionable clothing
- limited advertising
- clothes are sold to a wide demographic
- clothes from suppliers are ready to go straight onto store shelves.

(c) Evaluate how *Yellow* may have gained a competitive advantage in the clothing market. You should use the information provided as well as your own knowledge of business.

(12)

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14

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8. Question 4 · part b · 6 marks · Working and answer

Working and answer

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Define the term **non-current assets**.

(1)

(b) Outline **one** disadvantage to *Can Culleretes* of increasing the amount of inventory it holds.

(2)

Figure 2 is an extract of financial information from *Can Culleretes*.

Sales revenue	€19 220
Cost of sales	€14 720
Gross profit	€4 500

Figure 2

(c) Calculate, to 2 decimal places, the gross profit margin. You are advised to show your working.

(2)

.....%

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(d) Analyse the impact of customers using social media to review *Can Culleretes*.

(6)

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

Can Culleretes is planning to introduce a new range of desserts. To do this it would have to recruit a new dessert chef.

Can Culleretes is considering two options:

Option 1: offer the new chef a permanent contract

Option 2: offer the new chef a temporary contract.

(e) Justify which **one** of these two options *Can Culleretes* should choose.

(9)

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9. Question 3 · part d · 6 marks · Working and answer

Working and answer

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10. Question 1 · part g · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

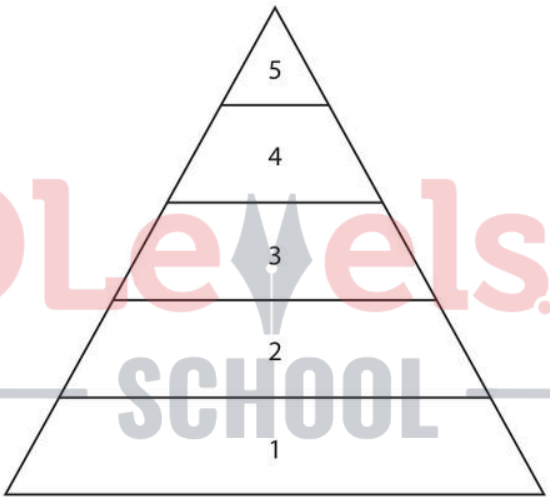

Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

10. Question 1 · part g · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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10. Question 1 · part g · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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10. Question 1 · part g · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(b) Define the term **public corporation**.

(1)

(c) Define the term **qualitative market research**.

(1)

(d) State **one** reason why it is important for *M&M* to motivate its employees.

(1)

In 2019 *M&M* borrowed 448 million Indian Rupees. In 2020 it borrowed 900 million Indian Rupees.

(e) Calculate, to two decimal places, the percentage increase from 2019 to 2020. You are advised to show your working.

(2)

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10. Question 1 · part g · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(f) Explain **one** advantage of becoming a multinational business.

(3)

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10. Question 1 · part g · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(g) Analyse the disadvantages to *M&M* of using social media.

(6)

(Total for Question 1 = 20 marks)

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10. Question 1 · part g · 6 marks · Working and answer

Working and answer

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11. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 *CCT* is offering team-building tours to other businesses. The price per person for these tours is 938 CYN. If a business books more than five places, it receives a 6% discount.

(a) Calculate the total discount received by a business when it books eight people on a team-building tour. You are advised to show your working.

(2)

..... CYN

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11. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

CCT has a website to provide information to its customers and make bookings.

(b) Analyse other forms of technology *CCT* can use to communicate its services.

(6)

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11. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

In 2024 the interest rate in China was 3% but is now predicted to increase to 3.2% in 2025.

(c) Evaluate the impact on *CCT* of an increase in the Chinese interest rate. You should use the information provided as well as your own knowledge of business.

(12)

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11. Question 4 · part b · 6 marks · Working and answer

Working and answer

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12. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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4 In 2017 one of *Lavender*'s outlets had current assets of 120 000 MYR and current liabilities of 90 000 MYR.

(a) Calculate to 2 significant figures the current ratio for 2017. You are advised to show your workings.

(2)

(b) Analyse the benefits to *Lavender* of using internal sources of finance for its expansion plans.

(6)

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12. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Lavender already uses a website to promote its products.

(c) Evaluate the benefits to *Lavender* of using other forms of technology to promote its products.

(12)

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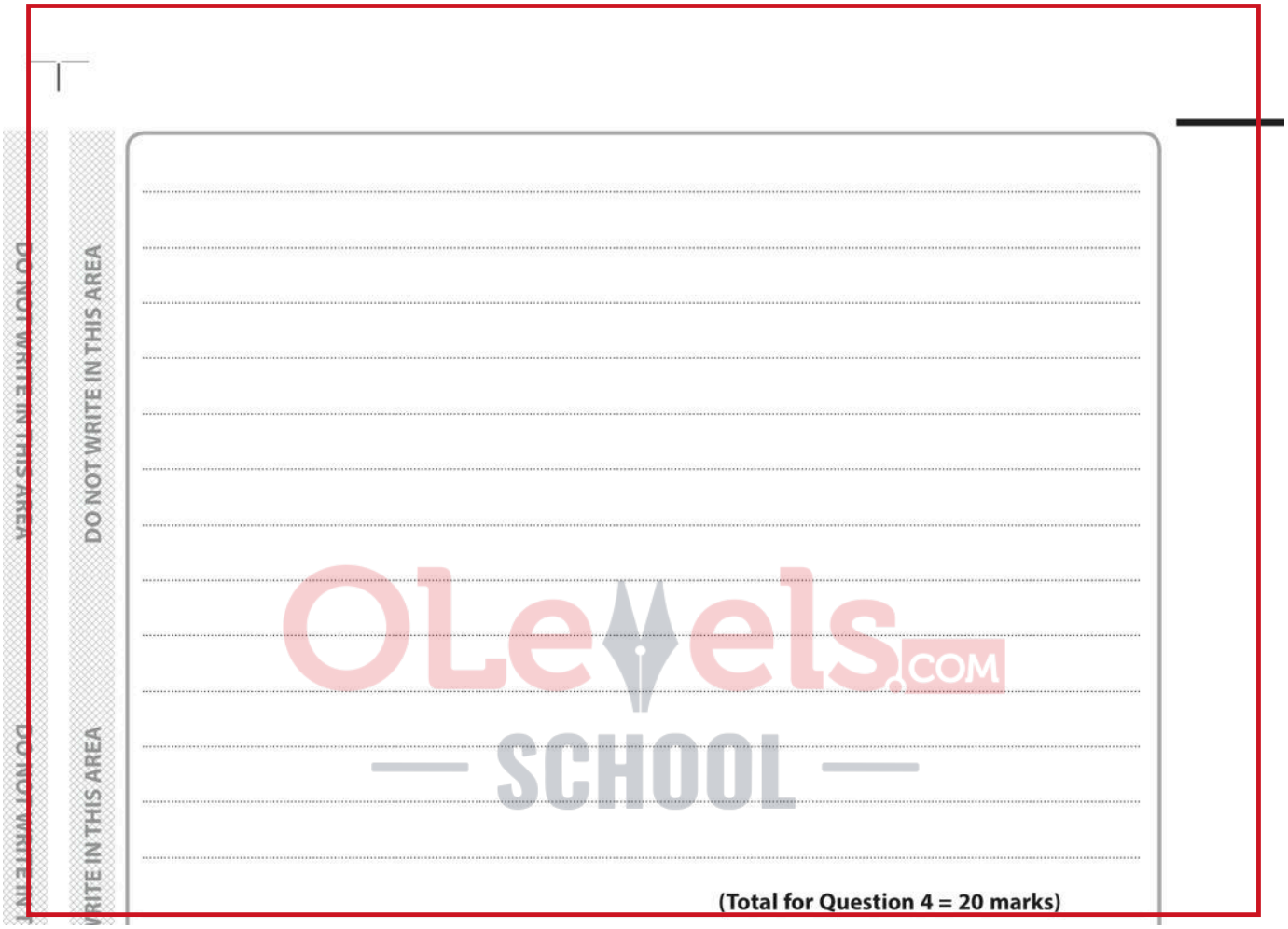
12. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



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12. Question 4 · part c · 12 marks · Working and answer

Working and answer

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Practice workbook · Pricing strategies and when to use them

Cost plus, penetration, competition, skimming and promotional pricing: meanings, when each fits, and choosing between them.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-06

1. Question 2 · part c · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part c only.

2 *HRMW* carries out market research on a regular basis.

(a) State **one** function that human resources at *HRMW* would carry out.

(1)

(b) State **one** reason why *HRMW* carries out market research.

(1)

(c) Explain **one** benefit of using penetration pricing for a new product.

(3)

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1. Question 2 · part c · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part c only.

(d) Explain **one** benefit to a business of using the internet to carry out secondary market research.

(3)

(e) Explain **one** benefit to a business of continually introducing new products.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

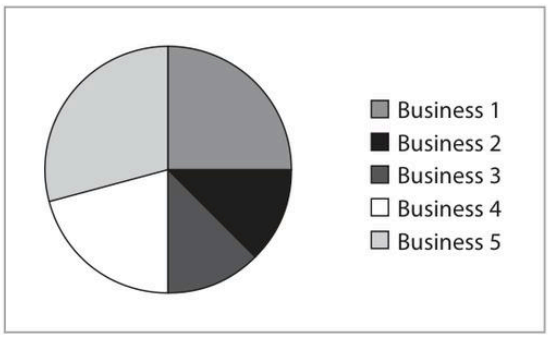

Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

- ☒ **A** 12.5%
- ☒ **B** 20.8%
- ☒ **C** 25.0%
- ☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

- ☒ **A** A method of borrowing regular amounts
- ☒ **B** More funds taken out than are in the account
- ☒ **C** Money lent by many people to a business
- ☒ **D** A loan due for repayment in five years

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d only.

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Figure 2 Extract from *Emirates* financial reports, 2015–2017

	2016–2017 Dirham millions (AED)	2015–2016 Dirham millions (AED)
Total assets	133 281	129 989
Cash assets	19 066	23 453

Figure 2

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017?

(1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

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(vi) Which **one** of the following would be part of recruiting a new employee?

(1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**.

(1)

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(c) Define the term **globalisation**.

(1)

.....

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P 6 2 4 2 7 A 0 5 2 0

2. Question 1 · part d · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d only.

(d) State **one** reason why *Emirates* uses competition pricing.

(1)

.....

.....

.....

Figure 3 shows part of a cash flow forecast for *Emirates*.

	June 2017 Dirham billions (AED)
Opening balance	44
Cash inflow	26
Cash outflow	30
Net cash flow	
Closing balance	40

Figure 3

(e) Calculate the net cash flow for June 2017. You are advised to show your working.

(2)

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2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.ii · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a.ii only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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3. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part d only.

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1 (a) (i) Which **one** of the following sectors would a retail outlet operate in?

(1)

Select **one** answer.

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quarternary

(ii) Which **one** of the following would be used to select a group of applicants for interview?

(1)

Select **one** answer.

- ☒ **A** Training
- ☒ **B** Shortlisting
- ☒ **C** Marketing
- ☒ **D** Advertising

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4. Question 1 · part d · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part d only.

NEXT purchased 5,000 dresses from a Turkish manufacturer at 101.10 New Turkish Lira (TRY) per dress.

The exchange rate is £1.00 (GBP) = 6.74 (TRY)

(iii) Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses?

(1)

Select **one** answer.

- ☒ **A** 5 101
- ☒ **B** 5 674
- ☒ **C** 33 700
- ☒ **D** 75 000

(iv) Which **one** of the following describes Kaizen?

(1)

Select **one** answer.

- ☒ **A** Skilled manufacturing
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientated
- ☒ **D** Continuous improvement

Figure 1 shows the number of online customers using *NEXT* in 2017–2018.

	2017 Millions	2018 Millions
Online customers	4.7	4.9

Figure 1

(v) What is the percentage increase, to two decimal places, of online customers from 2017 to 2018?

(1)

Select **one** answer.

- ☒ **A** 2.00%
- ☒ **B** 4.08%
- ☒ **C** 4.26%
- ☒ **D** 4.70%

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4. Question 1 · part d · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part d only.

(vi) Which **one** of the following is a benefit of buying a franchise?

(1)

Select **one** answer.

- ☒ **A** The franchisor provides training to the franchisee
- ☒ **B** A franchisee pays a lower rate of Value Added Tax (VAT)
- ☒ **C** The franchisor pays the franchisee to set up in business
- ☒ **D** A franchisee makes all his/her own decisions

(b) Define the term **delegation**.

(1)

(c) Define the term **venture capital**.

(1)

(d) State **one** reason why *NEXT* might use cost plus pricing.

(1)

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4. Question 1 · part d · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part d only.

NEXT predicts that its £727 million sales will grow by 3.2% next year.

(e) Calculate the predicted sales for next year. You are advised to show your working.

(2)

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(f) Explain **one** disadvantage for a business that does not achieve its predicted growth.

(3)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 3 · part a · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **price skimming**.

(1)

(b) Outline **one** reason why cash might be important to *Artify Studio*.

(2)

Figure 1 is an extract from the *Artify Studio* statement of profit and loss.

	S$
Revenue	90 500
Cost of goods sold	53 500
Direct labour	8 500
Total cost of sales	62 000
Gross profit	28 500

Figure 1

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

(2)

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5. Question 3 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a.ii only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

6. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

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CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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P 7 8 7 9 5 A 0 4 2 0

6. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.ii only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

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(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

7. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

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P 7 8 7 9 4 R A 0 4 2 0

7. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

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1 *Ocean Vibes* is a boat tour business located in two tourists resorts in Portugal. During the tours, it collects wildlife research. The idea came from two young scientists, Alfredo and Pedro, who share a passion for the environment, boats and science. *Ocean Vibes* employs boat tour guides and a sales team in each of the two resorts.

The main goal of *Ocean Vibes* is to connect tourism with science. It offers dolphin and bird-watching tours to tourists and uses the boat tours to collect research data on the wildlife. Its tour guides are knowledgeable, passionate and respectful of the environment.

Customers can book the boat tours online or in the tourist resorts. They are encouraged to leave reviews on *Ocean Vibes'* website.
Every month *Ocean Vibes* provides a boat tour for students and researchers who wish to study the wildlife.

There are many other businesses offering boat tours in Portugal which makes competing in the industry a challenge.

(a) (i) Which **one** of the following is a role within the marketing function?

(1)

Select **one** answer.

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Sales promotion
- ☒ **D** Training employees

(ii) Which **one** of the following is an example of a non-financial method of motivation?

(1)

Select **one** answer.

- ☒ **A** Bonus
- ☒ **B** Remuneration
- ☒ **C** Fringe benefits
- ☒ **D** Job rotation

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8. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

(iii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Introduction
- ☒ **B** Cash cow
- ☒ **C** Dog
- ☒ **D** Star

(iv) Which **one** of the following is an example of a public service provided by the government?

(1)

Select **one** answer.

- ☒ **A** Clothing retailer
- ☒ **B** Police force
- ☒ **C** Mobile phone provider
- ☒ **D** Grocery store

A bank in Portugal charges *Ocean Vibes* 12% interest on overdrafts.

(v) Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?

Select **one** answer.

(1)

- ☒ **A** €140
- ☒ **B** €168
- ☒ **C** €1 388
- ☒ **D** €1 568

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P 7 8 9 6 9 A 0 4 2 0

8. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

Figure 1 shows the total costs for *Ocean Vibes* in 2022 and 2023.

Year	€
2022	380 000
2023	420 000

Figure 1

(vi) Which **one** of the following is the percentage change in the total costs between 2022 and 2023?

(1)

Select **one** answer.

- ☒ **A** 0.90%
- ☒ **B** 9.52%
- ☒ **C** 10.53%
- ☒ **D** 90.48%

(b) Define the term **primary sector**.

(1)

(c) Define the term **shareholder**.

(1)

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8. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

(d) State **one** benefit to *Ocean Vibes* of using competition pricing.

(1)

The price of an *Ocean Vibes* boat tour is €60 (euros) per person.

The exchange rate is €1 = £0.95 (UK pounds)

(e) Calculate the price of a boat tour in UK pounds (£). You are advised to show your working.

(2)

£

(f) Explain **one** advantage to an individual of being a sole trader.

(3)

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P 7 8 9 6 9 A 0 6 2 0

8. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part c · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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2 (a) State **one** non-financial method of motivating staff at *Lavender*.

(1)

(b) State **one** function of the finance area in *Lavender*.

(1)

(c) Explain **one** way a business can use penetration pricing.

(3)

(d) Explain **one** reason why a business would have a short span of control.

(3)

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P 5 9 9 2 9 A 0 7 1 6

9. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 2 · part f · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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2 *Tata Motor Company* has employees across the world. It prides itself on looking after all its employees and ensuring that their needs are met.

(a) State **one** non-financial objective for *Tata Motor Company*.

(1)

(b) State **one** reason why *Tata Motor Company* would employ casual staff.

(1)

(c) Explain **one** reason why a business uses fringe benefits.

(3)

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(d) Explain **one** reason why a business would use job production.

(3)

10. Question 2 · part f · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

(e) Explain **one** benefit to a business of having a short chain of command.

(3)

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10. Question 2 · part f · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

Tata Motor Company uses different pricing strategies. It is considering **two** options for the launch of a new vehicle:

Option 1: cost plus

Option 2: promotional.

(f) Justify which **one** of these two options *Tata Motor Company* should use.

(9)

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(Total for Question 2 = 20 marks)

10. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 2 · part f · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

2 (a) State **one** external factor that could cause a change in demand for *NOF* products.

(1)

(b) State **one** reason *NOF* might use other retailers to sell its products.

(1)

(c) Explain **one** benefit to a business of using secondary market research.

(3)

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11. Question 2 · part f · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** limitation of a cash flow forecast when making business decisions.

(3)

(e) Explain **one** benefit to a business of using crowdfunding as a source of finance.

(3)

OLevels.com SCHOOL

11. Question 2 · part f · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

NOF has recently harvested its corn crop. It intends to turn the corn into popcorn called '*NOF* pop' to sell in the farm shop and through local retailers.

NOF is considering two options to introduce the product into the market:

Option 1: offering a low introductory price for three months

Option 2: selling at the same price as competitors.

(f) Justify which **one** of these two options *NOF* should choose.

(9)

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OLevels.com SCHOOL

11. Question 2 · part f · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

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(Total for Question 2 = 20 marks)

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11. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

3 *Huawei* constantly has to introduce new products to the market to keep up to date with its competitors. If it does not do this then there is the possibility that other businesses will succeed where *Huawei* will not.

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Huawei* would use robotics in the production of its products.

(2)

In 2018 *Huawei* took out a one-year loan for 69 941 000 000 Renminbi (CNY) from a bank. The bank charged interest of 4.5% on the loan.

(c) Calculate the interest *Huawei* would pay. You are advised to show your working.

(2)

..... CNY

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OLevels.com SCHOOL

12. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

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(d) Analyse why *Huawei* offers its new employees in the design department off-the job training.

(6)

OLevels.com SCHOOL

12. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

Huawei operates in a very competitive market. For any new smartphone it has to decide which pricing strategy it will use. For its next smartphone *Huawei* is considering two options:

Option 1: competition pricing

Option 2: promotional pricing.

(e) Justify which **one** of these two options *Huawei* should use when launching its new smartphone.

(9)

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OLevels.com SCHOOL

12. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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12. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 2 · part f · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

2 All 18,000 *LEGO* employees are full-time.

(a) State **one** financial objective for *LEGO*.

(1)

(b) State **one** possible reason why *LEGO* does not recruit casual employees.

(1)

(c) Explain **one** reason why a business would pay its employees above the minimum wage.

(3)

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OLevels.com SCHOOL

13. Question 2 · part f · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

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(d) Explain **one** reason why product trials are important to a business.

(3)

(e) Explain **one** reason why a business complies with health and safety legislation.

(3)

OLevels.com SCHOOL

13. Question 2 · part f · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

LEGO is constantly introducing new toys to the market to keep its customers buying. It is planning to introduce a new Star Wars Princess Leia toy. It is considering the following two pricing strategies to launch the toy.

Option 1: cost plus

Option 2: skimming.

(f) Justify which **one** of these two options *LEGO* should choose.

(9)

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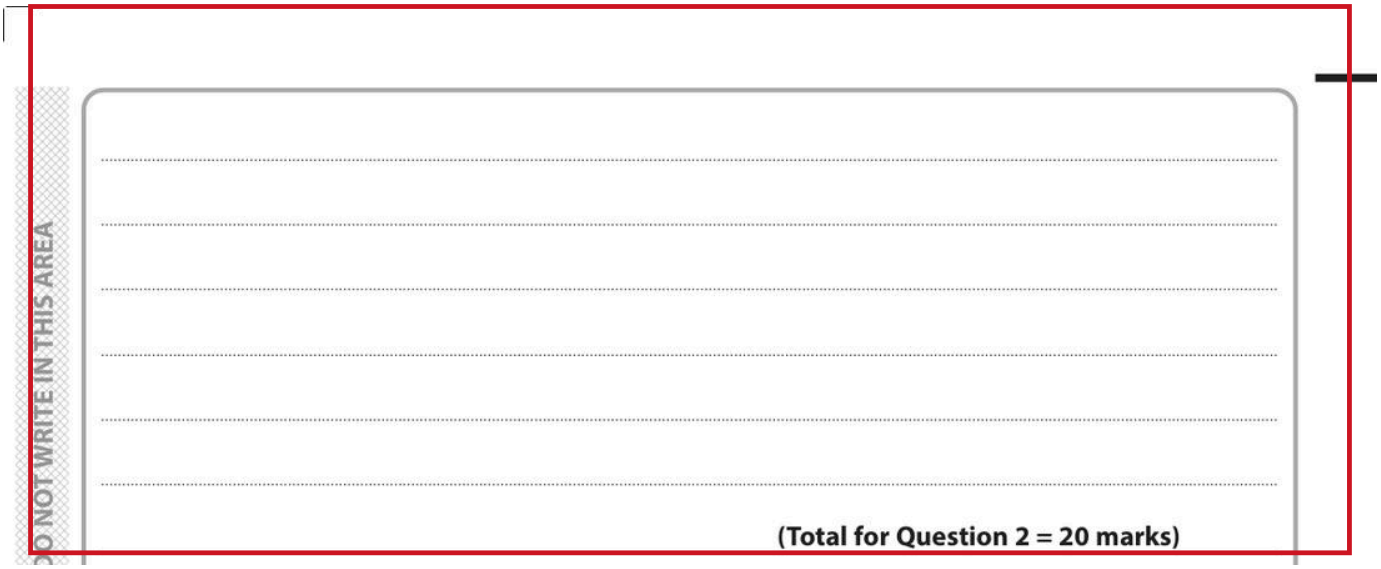
13. Question 2 · part f · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.



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13. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

14. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

3 (a) Define the term **job production**.

(1)

(b) Outline why *AWG* can be classified as operating in the secondary sector.

(2)

In 2022, *AWG* borrowed 70 000 ISK from its bank. At the end of the year it paid back the loan with 6.5% interest.

(c) Calculate the total amount, including interest, *AWG* would have paid to the bank. You are advised to show your working.

(2)

.....ISK

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14. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

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AWG is an importer and an exporter. It imports materials to make its jumpers and exports its clothing to international customers.

(d) Analyse the impact on *AWG* of a depreciation of the ISK.

(6)

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14. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

AWG is planning to launch a new range of clothing aimed at teenagers and younger adults. It is considering two pricing methods:

Option 1: competition pricing

Option 2: cost plus pricing.

(e) Justify which **one** of these two options *AWG* should choose.

(9)

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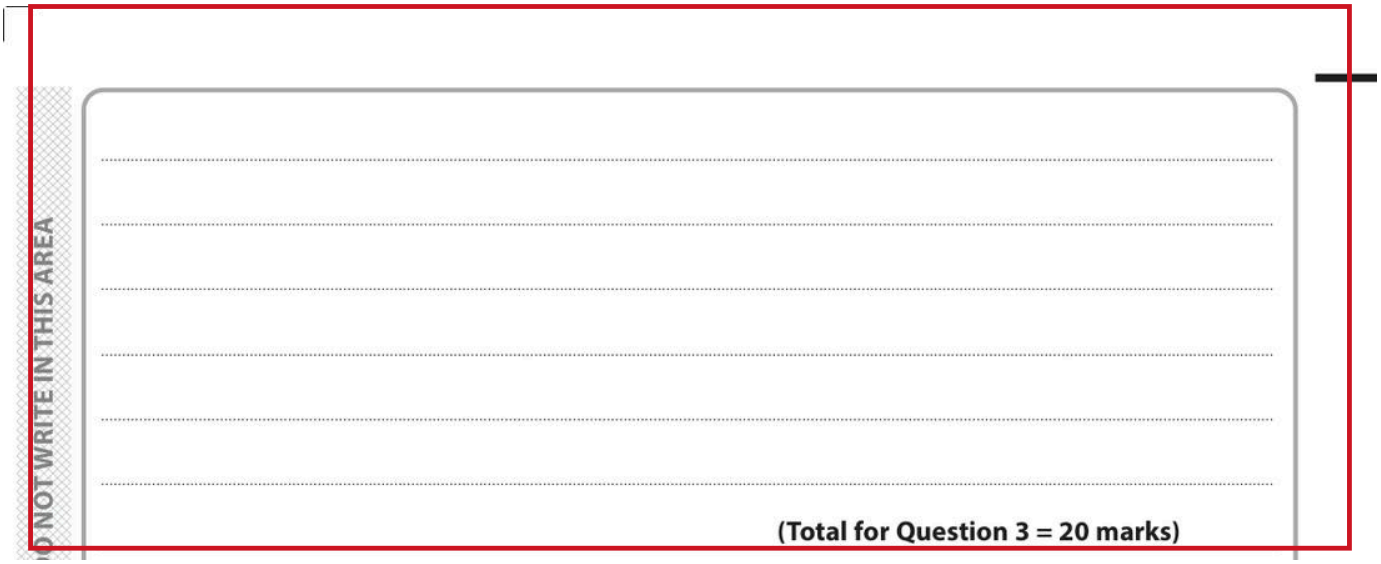
OLevels.com SCHOOL

14. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.



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14. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

15. Question 2 · part f · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

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2 *TUI* has employees throughout the world. Some are employed to greet customers arriving at their holiday destination by air, rail or road. Others sell trips and excursions to customers once they reach their holiday destination. *TUI* prides itself on looking after all its employees and making sure that their needs are met.

(a) State **one** possible reason why *TUI* would want to keep its customers loyal.

(1)

(b) State **one** reason why *TUI* would employ casual employees.

(1)

(c) Explain **one** reason why businesses employ people with disabilities.

(3)

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15. Question 2 · part f · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** benefit to a business of having a short chain of command.

(3)

(e) Explain **one** important piece of information that should be included in a job advertisement in a newspaper.

(3)

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15. Question 2 · part f · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

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The travel market that *TUI* operates in is very competitive, with many different businesses offering the same holidays at the same venues. When *TUI* introduces a new holiday or experience it has to consider the pricing strategy it will use. For its new holiday destination in Sri Lanka it is considering two options:

Option 1: competition pricing

Option 2: promotional pricing.

(f) Justify which **one** of these two options *TUI* should choose.

(9)

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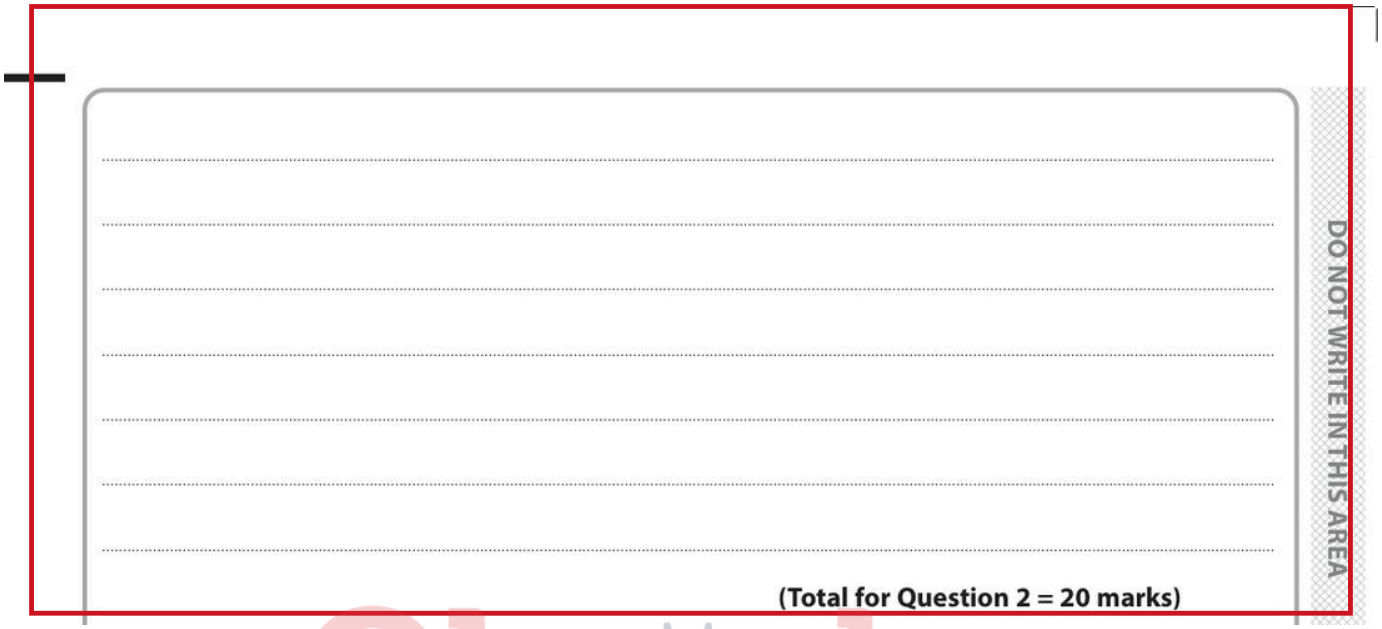
15. Question 2 · part f · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.



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15. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

3 (a) Define the term **legislation**.

(1)

(b) Outline **one** reason why *Saha* may dismiss an employee.

(2)

Figure 2 is an extract from a cash flow forecast.

	£
Cash inflows	
Sales	24 000
Other income	5 000
Cash outflow	
Net cash flow	11 000

Figure 2

(c) Calculate the **cash outflow**. You are advised to show your working.

(2)

£.....

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16. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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(d) Analyse **two** possible reasons that may lead to business failure for *Saha*.

(6)

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16. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

Saha is planning to develop a new range of robots aimed at helping people in the home with cleaning, shopping, security and entertainment.

It is considering two pricing methods for these robots:

Option 1: price skimming

Option 2: cost plus pricing.

(e) Justify which **one** of these two options *Saha* should choose.

(9)

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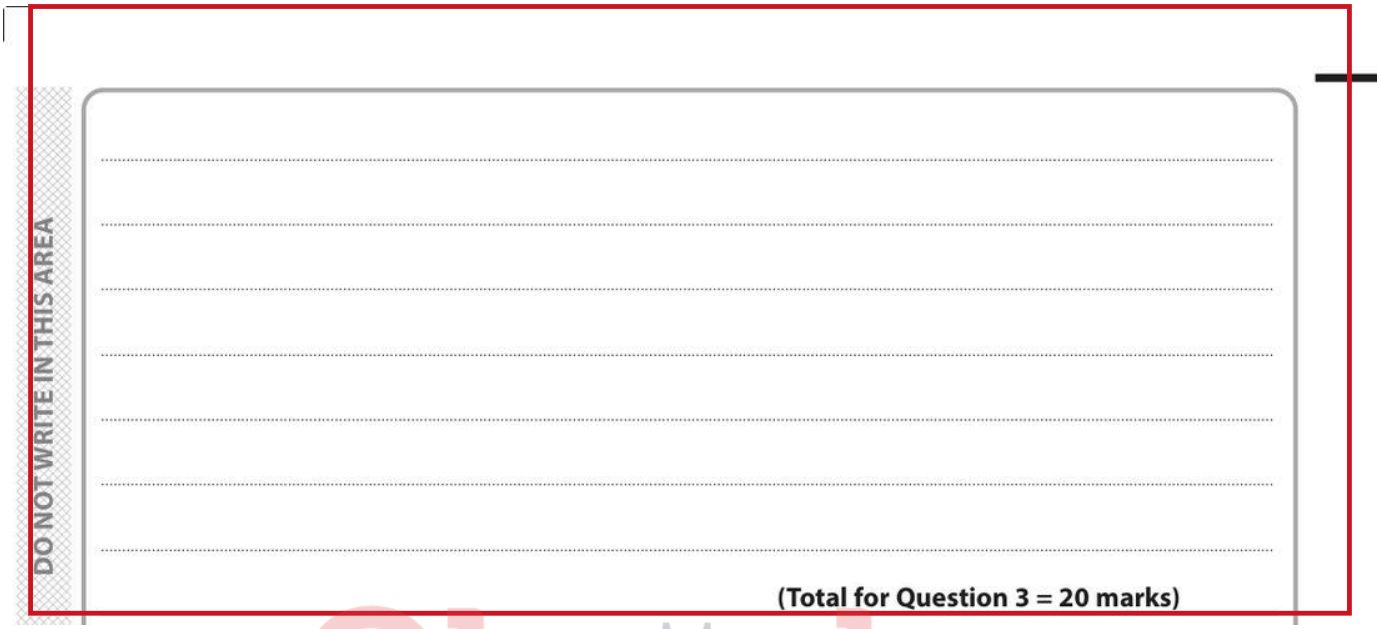
16. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.



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16. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 2 · part f · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

2 *Premier Inn* wants to retain its employees so it can continue to maintain the service it provides for guests.

(a) State **one** activity carried out by the marketing functional area at *Premier Inn*.

(1)

(b) State **one** reason why *Premier Inn* uses seasonal employees.

(1)

(c) Explain **one** reason why a business would use robotics in its production.

(3)

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17. Question 2 · part f · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

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(d) Explain **one** reason why a business might use sponsorship.

(3)

(e) Explain **one** advantage for a country of being in a trading bloc.

(3)

OLevels.COM SCHOOL

17. Question 2 · part f · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

To be competitive in India, *Premier Inn* must make sure that it uses the correct pricing strategy. It is considering the following two options:

Option 1: competition pricing

Option 2: promotional pricing.

(f) Justify which **one** of these two options *Premier Inn* should choose.

(9)

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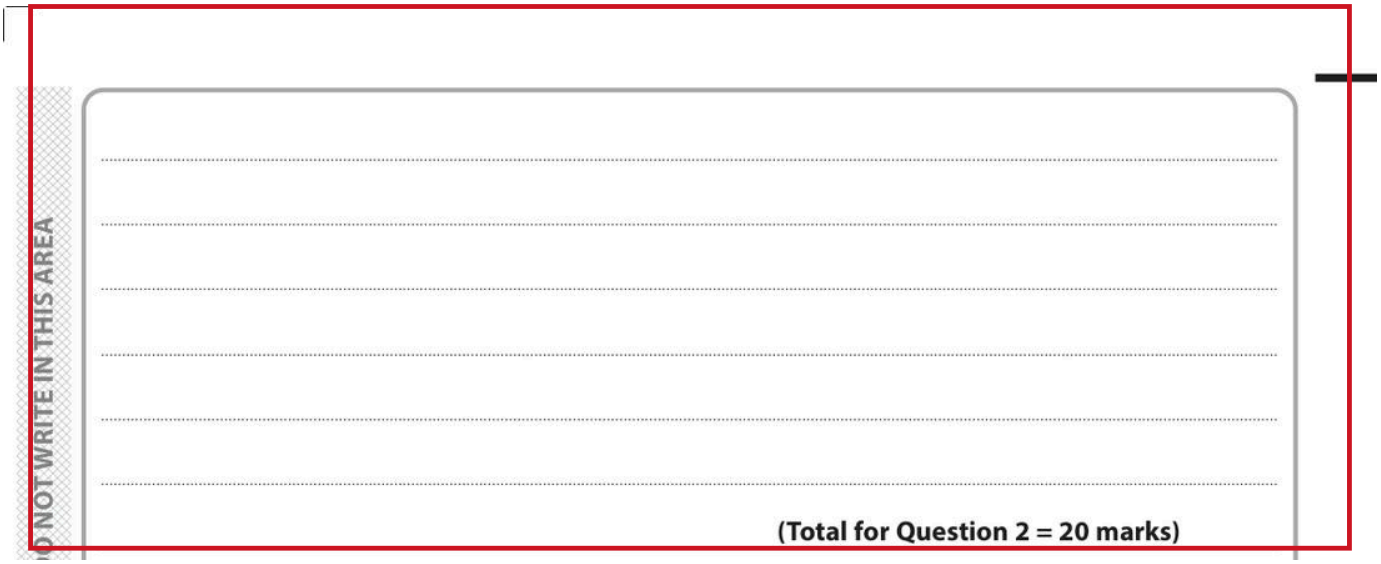
OLevels.COM SCHOOL

17. Question 2 · part f · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.



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17. Question 2 · part f · 9 marks · Working and answer

Working and answer

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Practice workbook · New products and marketing mix choices

Goods versus services, the marketing mix, why businesses keep developing new products, and choosing between product, price or promotion growth options.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-07

1. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

2 *HRMW* carries out market research on a regular basis.

(a) State **one** function that human resources at *HRMW* would carry out.

(1)

(b) State **one** reason why *HRMW* carries out market research.

(1)

(c) Explain **one** benefit of using penetration pricing for a new product.

(3)

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8

P 6 2 4 2 9 A 0 8 2 0

1. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Explain **one** benefit to a business of using the internet to carry out secondary market research.

(3)

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(e) Explain **one** benefit to a business of continually introducing new products.

(3)

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1. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

HRMW is always looking to improve its methods of production. To do this it is considering using the following two options:

Option 1: kaizen

Option 2: just-in-time (JIT).

(f) Justify which **one** of these two options *HRMW* should use.

(9)

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10

P 6 2 4 2 9 A 0 1 0 2 0

1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 *Yellow* has introduced a new product, 'Design Your Own Shirt'. Customers can choose the colour, sleeve length and number of pockets.

(a) State **one** benefit to *Yellow of* introducing this product.

(1)

(b) State **one** way *Yellow* could carry out market research.

(1)

(c) Explain **one** benefit to a business of retaining its employees.

(3)

(d) Explain **one** advantage for a business of using targeted advertising online.

(3)

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P 5 9 9 3 2 A 0 7 1 6

7

Turn over

2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.iv only.

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1 *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

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3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.iv only.

(iv) Which **one** of the following is an example of a good?

Select **one** answer.

(1)

- ☒ **A** Motor vehicle
- ☒ **B** Financial advice
- ☒ **C** Car washing
- ☒ **D** Gardening

In 2021 *Irsi Chocolatier*'s revenue was €311 625. Each year it has seen its revenue increase.

(v) Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?

Select **one** answer.

(1)

- ☒ **A** €317 857.50
- ☒ **B** €319 415.63
- ☒ **C** €320 973.75
- ☒ **D** €322 531.88

Irsi Chocolatier's monthly fixed costs are €950 and variable costs per luxury box of chocolates are €2.60.

(vi) Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?

Select **one** answer.

(1)

- ☒ **A** 75
- ☒ **B** 76
- ☒ **C** 77
- ☒ **D** 78

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P 7 2 6 7 0 R A 0 4 2 0

3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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4. Question 1 · part a.ii · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.ii only.

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1 *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

AWG's increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

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(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

4. Question 1 · part a.ii · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.ii only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

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4. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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5. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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2 One of *IKEA*'s aims is to keep up to date with the changes taking place in product design and meeting customers' needs. To do this it has to introduce new and different products on a regular basis.

(a) State **one** reason why *IKEA* would employ temporary staff.

(1)

(b) State **one** financial objective *IKEA* might have.

(1)

(c) Explain **one** reason why cash flow forecasting is important to a business.

(3)

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5. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

(d) Explain **one** reason why diseconomies of scale may occur.

(3)

(e) Explain **one** reason why businesses continually design new products.

(3)

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5. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

IKEA constantly aims to improve the way it promotes its furniture. To do this *IKEA* is considering using the following techniques.

Option 1: above the line promotion

Option 2: below the line promotion.

(f) Justify which **one** of these two options *IKEA* should use.

(9)

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5. Question 2 · part e · 3 marks · Working and answer

Working and answer

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6. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Define the term **job share**.

(1)

(b) Outline **one** reason why high levels of customer satisfaction might be important to *Loaf*.

(2)

Figure 2 is an extract from *Loaf*'s statement of comprehensive income in 2018.

	£000s
Revenue	90
Gross profit	22
Other operating expenses	4

Figure 2

(c) Calculate the operating profit margin for *Loaf* in 2018. You are advised to show your working.

(2)

..... %

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P 6 2 4 2 8 A 0 1 2 2 0

6. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) Analyse how useful the information in **Figure 2** is to *Loaf*.

(6)

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6. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

Loaf is looking to increase its net cash flow.

It is considering the following two options:

Option 1: hosting pop-up events across the country

Option 2: introducing different cookery courses.

(e) Justify which **one** of these two options *Loaf* should choose.

(9)

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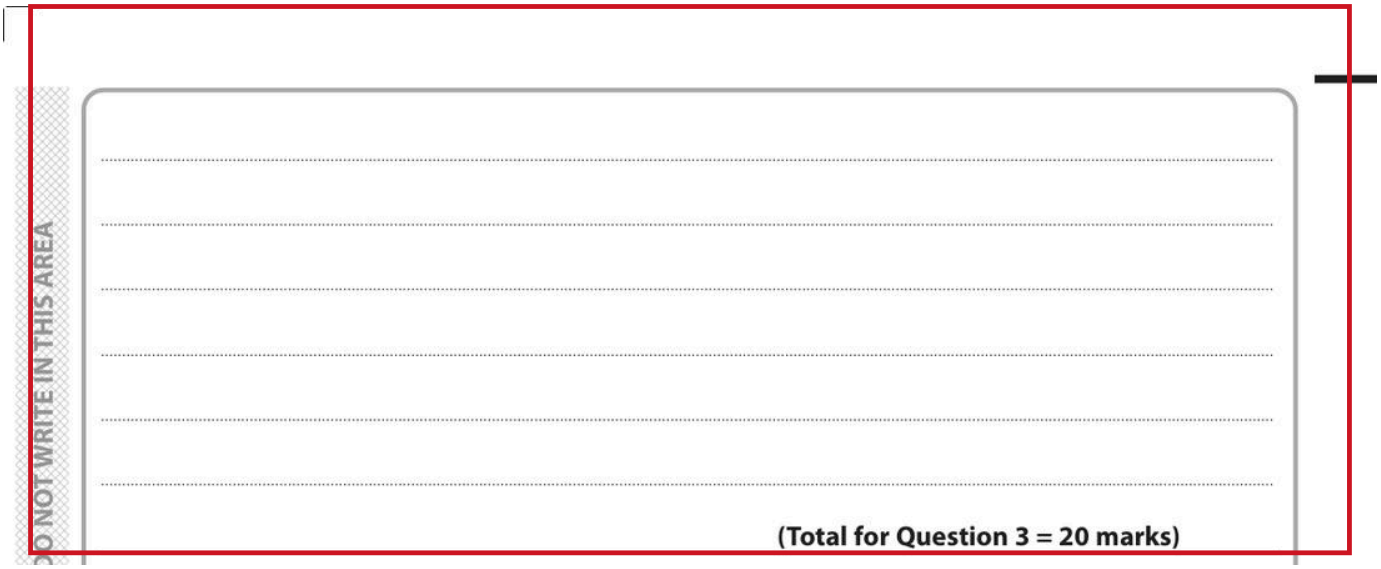
6. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.



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6. Question 3 · part e · 9 marks · Working and answer

Working and answer

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7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

3 One of *TADS'* objectives is to expand by giving lessons for different musical instruments. To do this it will need to analyse its financial position.

(a) Define the term **liquidity**.

(1)

(b) Outline **one** possible financial objective, other than revenue, that *TADS* might have.

(2)

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7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

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Figure 1 shows an extract from the cash flow forecast for *TADS*.

	February (£)
Opening balance	4 000
Cash inflow	7 000
Cash outflow	3 000
Net cash flow	
Closing balance	

Figure 1

(c) Calculate the closing balance for February. You are advised to show your working.

(2)

£.....

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7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

(d) Analyse the importance of cash to *TADS*.

(6)

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7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

TADS is looking to increase its revenue.

TADS is considering the following **two** options:

Option 1: teach other musical instruments

Option 2: increase the number of online drum lessons.

(e) Justify which **one** of these two options *TADS* should choose.

(9)

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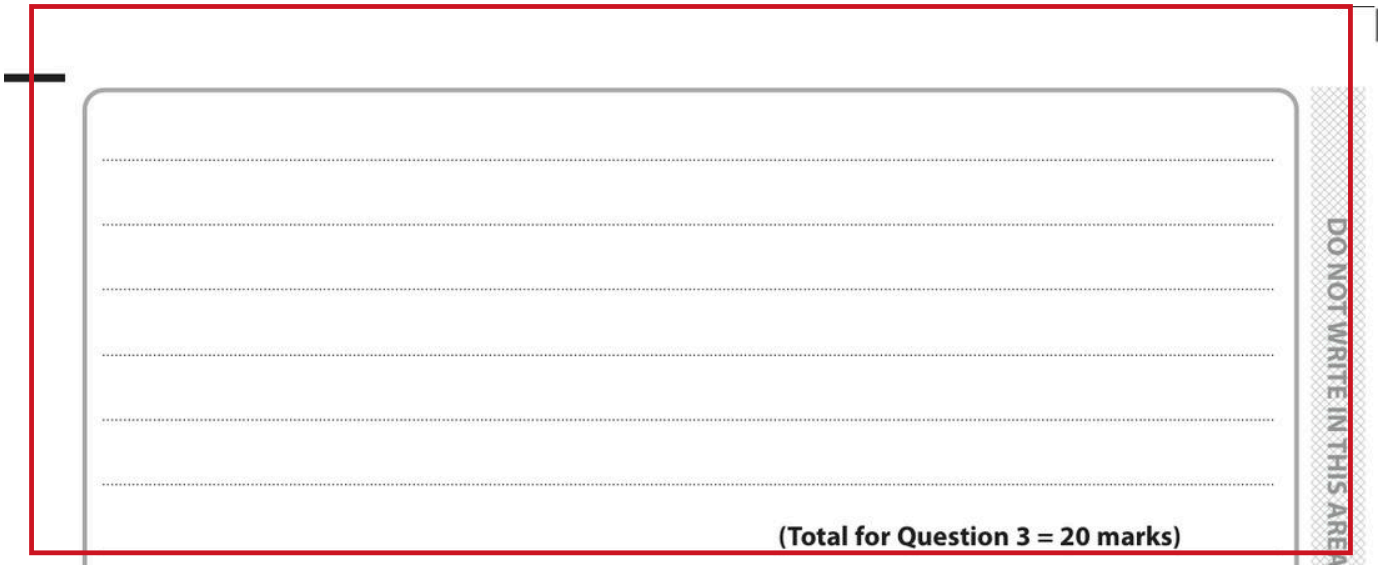
7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.



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7. Question 3 · part e · 9 marks · Working and answer

Working and answer

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8. Question 2 · part f · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

2 During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*.

(1)

(b) State **one** way *Can Culleretes* might add value to its business.

(1)

(c) Explain **one** method a business could use to encourage repeat purchase of its products.

(3)

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8. Question 2 · part f · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** disadvantage of using personal savings as a source of finance for a business.

(3)

(e) Explain **one** benefit for a business of motivating its employees.

(3)

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8. Question 2 · part f · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Can Culleretes is looking to improve its revenue and is considering two options:

Option 1: increase advertising

Option 2: opening for breakfast.

(f) Justify which **one** of these two options *Can Culleretes* should choose.

(9)

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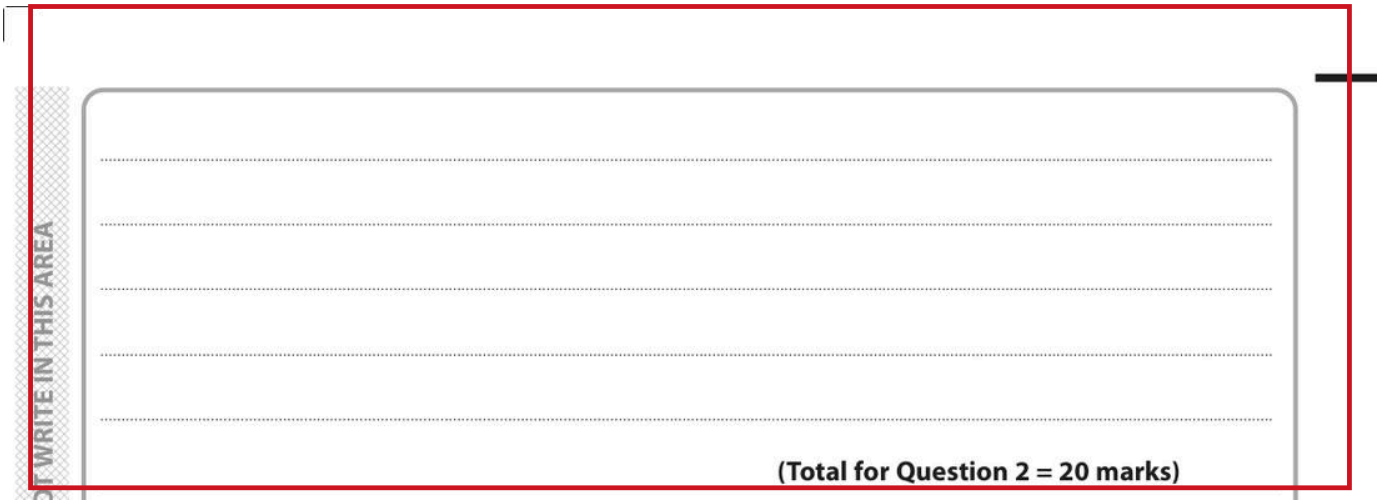
8. Question 2 · part f · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.



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8. Question 2 · part f · 9 marks · Working and answer

Working and answer

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9. Question 2 · part f · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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2 *M&M* is constantly working to maintain the standards and quality of its products.

(a) State **one** non-financial objective for *M&M*.

(1)

(b) State **one** reason why *M&M* could dismiss an employee.

(1)

(c) Explain **one** reason why branding is important to businesses.

(3)

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9. Question 2 · part f · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(d) Explain **one** way businesses ensure that all employees have equal opportunities.

(3)

(e) Explain **one** reason why businesses maintain the quality of their products.

(3)

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9. Question 2 · part f · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

M&M wants to remain the world's largest manufacturers of cars, vans and tractors. To do this it is always introducing new ways of keeping its customers interested. *M&M* is considering the following options.

Option 1: increase promotion of all vehicles

Option 2: make improvements to all vehicles.

(f) Justify which **one** of these two options *M&M* should choose.

(9)

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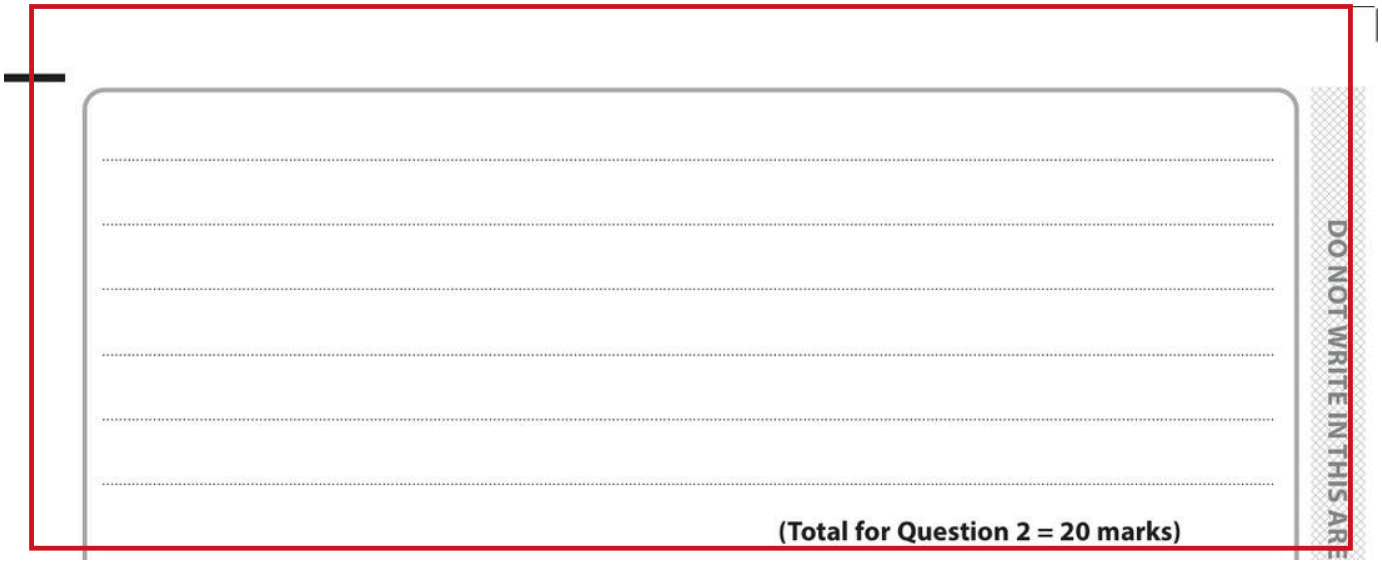
9. Question 2 · part f · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.



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9. Question 2 · part f · 9 marks · Working and answer

Working and answer

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10. Question 2 · part f · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

2 (a) State **one** reason why *Café Pinch* might set business objectives.

(1)

(b) State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.

(1)

(c) Explain **one** responsibility of the human resources function.

(3)

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10. Question 2 · part f · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** advantage of being in a partnership.

(3)

(e) Explain **one** disadvantage to a business of having a hierarchical organisational structure.

(3)

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10. Question 2 · part f · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Berlin has recently seen an increase in cafés, small restaurants and breakfast bars. To remain competitive and keep its customers, *Café Pinch* is reviewing its marketing mix. It is considering two options:

Option 1: introduce a vegan range of products

Option 2: a special offer of 7.5% discount to customers on Wednesday mornings 9am–12pm.

(f) Justify which **one** of these two options *Café Pinch* should choose.

(9)

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10. Question 2 · part f · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(Total for Question 2 = 20 marks)

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10. Question 2 · part f · 9 marks · Working and answer

Working and answer

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11. Question 2 · part f · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

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2 (a) State **one** factor *Four Fitness* may consider when choosing a location for its new gym.

(1)

(b) State **one** reason why branding is important to *Four Fitness*.

(1)

(c) Explain **one** advantage to a business of using total quality management.

(3)

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11. Question 2 · part f · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

(d) Explain **one** problem a business might face as a result of ineffective communication.

(3)

(e) Explain **one** disadvantage to a small business of borrowing money from a bank.

(3)

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11. Question 2 · part f · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

Four Fitness is looking to introduce a new service to increase its market share. It is considering two options:

Option 1: as part of its monthly subscription price, members are given a 'Technogym Electronic Key' which is inserted into the gym equipment. The key will track and store their progress. An instructor helps them to analyse their progress.

Option 2: introduce links to online fitness classes on its website that can be accessed from home. Customers will be charged for each fitness class downloaded.

(f) Justify which **one** of these two options *Four Fitness* should choose.

(9)

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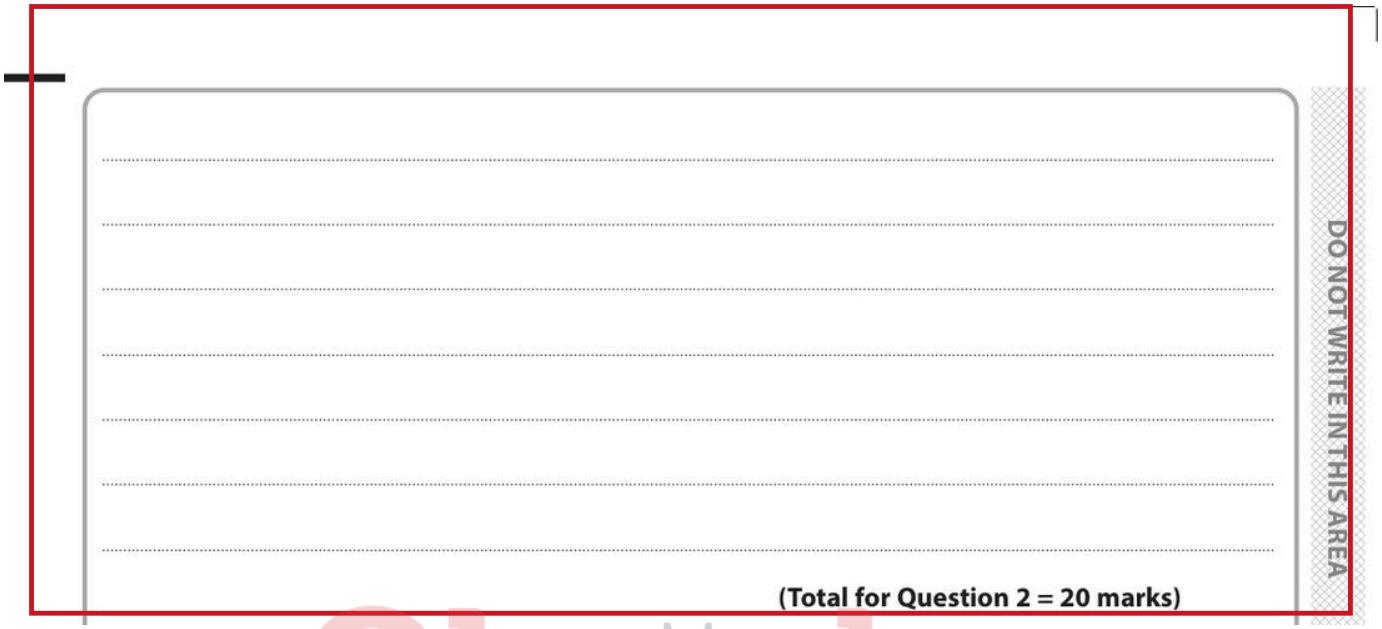
11. Question 2 · part f · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.



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11. Question 2 · part f · 9 marks · Working and answer

Working and answer

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